

- Pursuant to the relevant provisions of the Memorandum of Understanding (MOU) By and Between the Philippine Stock Exchange, Inc. (PSE) and the Securities and Exchange Commission (SEC) on the Listing of the PSE Shares on the PSE Trading Board, the Commission has caused the immediate posting of the foregoing disclosure/s in the PSE Electronic Disclosure Generation Technology System (PSE EDGE). This directive is being issued primarily for the purpose of ensuring the timely disclosure of information relating to PSE as a listed company and should not be construed as an approval by the Commission of the item/s being disclosed nor of any of the acts done by the PSE or it intends to do in relation to this disclosure. The PSE shall remain responsible for complying with the other requirements as mandated in the Securities Regulation Code (SRC) and other relevant laws and their respective rules and regulations. This approval is for the purpose of ensuring the immediate posting of the disclosure. Nothing herein precludes the Commission as the statutory regulator of the PSE as a registered exchange, as Self-Regulatory Organization and as an issuer of registered securities, to seek further clarification and/or information and to take appropriate action on the matter, including the imposition of penalty in case of violation of the SRC and its Implementing Rules and Regulations. Finally, the Commission, acting as the Exchange under the MOU, may also impose penalty in case of violation of the relevant PSE Rules.

SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-A, AS AMENDED

**ANNUAL REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE AND SECTION 141
OF THE CORPORATION CODE OF THE PHILIPPINES**

1. For the fiscal year ended
Dec 31, 2021
2. SEC Identification Number
AN092-002557
3. BIR Tax Identification No.
002-333-130
4. Exact name of issuer as specified in its charter
The Philippine Stock Exchange, Inc.
5. Province, country or other jurisdiction of incorporation or organization
Republic of the Philippines
6. Industry Classification Code(SEC Use Only)
7. Address of principal office
6th to 10th Floors, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City,
Taguig City
Postal Code
1634
8. Issuer's telephone number, including area code
(632) 88764888

9. Former name or former address, and former fiscal year, if changed since last report

Not Applicable

10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Shares	81,965,903

11. Are any or all of registrant's securities listed on a Stock Exchange?

☒ Yes ☐ No

If yes, state the name of such stock exchange and the classes of securities listed therein:

The Philippine Stock Exchange, Inc.

12. Check whether the issuer:

(a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17.1 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports)

☒ Yes ☐ No

(b) has been subject to such filing requirements for the past ninety (90) days

☒ Yes ☐ No

13. State the aggregate market value of the voting stock held by non-affiliates of the registrant. The aggregate market value shall be computed by reference to the price at which the stock was sold, or the average bid and asked prices of such stock, as of a specified date within sixty (60) days prior to the date of filing. If a determination as to whether a particular person or entity is an affiliate cannot be made without involving unreasonable effort and expense, the aggregate market value of the common stock held by non-affiliates may be calculated on the basis of assumptions reasonable under the circumstances, provided the assumptions are set forth in this Form

N/A

**APPLICABLE ONLY TO ISSUERS INVOLVED IN
INSOLVENCY SUSPENSION OF PAYMENTS PROCEEDINGS
DURING THE PRECEDING FIVE YEARS**

14. Check whether the issuer has filed all documents and reports required to be filed by Section 17 of the Code subsequent to the distribution of securities under a plan confirmed by a court or the Commission.

☐ Yes ☒ No

DOCUMENTS INCORPORATED BY REFERENCE

15. If any of the following documents are incorporated by reference, briefly describe them and identify the part of SEC Form 17-A into which the document is incorporated:

(a) Any annual report to security holders

None

(b) Any information statement filed pursuant to SRC Rule 20

None

(c) Any prospectus filed pursuant to SRC Rule 8.1

None

The Exchange does not warrant and holds no responsibility for the veracity of the facts and representations contained in all corporate disclosures, including financial reports. All data contained herein are prepared and submitted by the disclosing party to the Exchange, and are disseminated solely for purposes of information. Any questions on the data contained herein should be addressed directly to the Corporate Information Officer of the disclosing party.



The Philippine Stock Exchange, Inc. PSE

PSE Disclosure Form 17-1 - Annual Report

*References: SRC Rule 17 and
Section 17.2 and 17.8 of the Revised Disclosure Rules*

For the fiscal year ended	Dec 31, 2021
Currency	Philippine Peso

Balance Sheet

	Year Ending	Previous Year Ending
	Dec 31, 2021	Dec 31, 2020
Current Assets	4,712,254,171	4,146,557,827
Total Assets	7,455,875,519	6,806,099,853
Current Liabilities	718,220,922	642,892,238
Total Liabilities	1,718,573,269	1,341,342,528
Retained Earnings/(Deficit)	2,403,930,946	2,135,932,312
Stockholders' Equity	5,737,302,250	5,464,757,325
Stockholders' Equity - Parent	5,210,991,063	5,235,603,910
Book Value Per Share	70.39	67.05

Income Statement

	Year Ending	Previous Year Ending
	Dec 31, 2021	Dec 31, 2020
Gross Revenue	1,867,817,398	1,527,081,156
Gross Expense	669,455,041	661,105,322
Non-Operating Income	0	0
Non-Operating Expense	0	0
Income/(Loss) Before Tax	1,198,362,357	865,975,834
Income Tax Expense	278,877,738	209,163,409
Net Income/(Loss) After Tax	919,484,619	656,812,425
Net Income/(Loss) Attributable to Parent Equity Holder	923,136,938	659,814,389
Earnings/(Loss) Per Share (Basic)	11.33	8.1
Earnings/(Loss) Per Share (Diluted)	11.33	8.1

Financial Ratios

	Formula	Fiscal Year Ended	Previous Fiscal Year
		Dec 31, 2021	Dec 31, 2020
Liquidity Analysis Ratios:			
;; Current Ratio or Working Capital Ratio	Current Assets / Current Liabilities	6.56	6.45
;; Quick Ratio	(Current Assets - Inventory - Prepayments) / Current Liabilities	6.53	6.42
;; Solvency Ratio	Total Assets / Total Liabilities	4.34	5.07
Financial Leverage Ratios			
;; Debt Ratio	Total Debt/Total Assets	0.23	0.2
;; Debt-to-Equity Ratio	Total Debt/Total Stockholders' Equity	0.3	0.25
;; Interest Coverage	Earnings Before Interest and Taxes (EBIT) / Interest Charges	0	0
;; Asset to Equity Ratio	Total Assets / Total Stockholders' Equity	1.3	1.25
Profitability Ratios			
;; Gross Profit Margin	Sales - Cost of Goods Sold or Cost of Service / Sales	82	79
;; Net Profit Margin	Net Profit / Sales	56	50
;; Return on Assets	Net Income / Total Assets	12	10
;; Return on Equity	Net Income / Total Stockholders' Equity	16	12
Price/Earnings Ratio	Price Per Share / Earnings Per Common Share	18.98	19

Other Relevant Information
None.

Filed on behalf by:

Name	Aissa Encarnacion
Designation	Corporate Information Officer

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-A

ANNUAL REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE AND SECTION 141
OF THE CORPORATION CODE OF THE PHILIPPINES

1. For the fiscal year ended December 31, 2021
2. SEC Identification Number AN092002557
3. BIR Tax Identification No. 002-333-130
4. Exact name of issuer as specified in its charter THE PHILIPPINE STOCK EXCHANGE, INC.
5. Philippines
Province, Country or other
jurisdiction of incorporation or
organization
6. (SEC Use Only)
Industry Classification Code:
7. 6th to 10th Floors, PSE Tower, 5th Avenue corner
28th Street, Bonifacio Global City, Taguig City
Address of principal office 1634
Postal Code
8. (02) 8876-4888
Issuer's telephone number, including area code
9. _____
Former name, former address, and former fiscal year, if changed since last report.
10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sec. 4 and 8 of the RSA

Title of Each Class	Number of Shares of Stock Outstanding and Amount of Debt Outstanding
<u>Common Stock</u>	<u>81,965,903</u>
<u>Preferred Stock</u>	<u>0</u>

11. Are any or all of these securities listed on a Stock Exchange.

Yes [X] No []

If yes, state the name of such stock exchange and the classes of securities listed therein:

12. Check whether the issuer:

(a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17.1 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports);

Yes ☒ No ☐

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐

13. Aggregate value of the voting stock held by non-affiliates: N/A

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I. BUSINESS AND GENERAL INFORMATION

Item 1. Business

Description of Registrant

The Philippine Stock Exchange, Inc. was incorporated on July 14, 1992 as a non-stock corporation and later became a stock corporation on August 3, 2001. On December 15, 2003, pursuant to the demutualization mandate of Republic Act No. 8799, or the Securities Regulation Code (SRC), the Company's outstanding capital stock was listed by way of introduction. On February 18, 2004, the Company sold 6,077,505 shares from its unissued stock to five strategic investors by way of private placement that was approved by the Securities and Exchange Commission (SEC). The strategic investors were the PLDT Beneficial Trust Fund, SMC Retirement Fund, Government Service Insurance System, Kim Eng Investment, Ltd., and KE Strategic Pte. Ltd.

The Company's revenues are primarily derived from listing-related and trading-related fees. The Company charges listing fees for initial public offerings and additional listings, and for annual listing maintenance. Meanwhile, trading revenues are primarily comprised of transaction fees, subscription fees, and service fees related to clearing and settlement. Other sources of revenue are membership, data feed, and miscellaneous fees.

Description of Subsidiaries and Affiliates

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary organized primarily as a clearing and settlement agency for SCCP-eligible trades executed through the facilities of the Company. SCCP is responsible for: (a) synchronizing the settlement of funds for transactions of clearing members and the transfer of securities through Delivery versus Payment (DVP) clearing; (b) the administration of the Clearing and Trade Guaranty Fund (CTGF) and guaranteeing the settlement of trades through the implementation of its Fails Management System in the event of a Trading Participant's default; and (c) performance of Risk Management and Monitoring to ensure final and irrevocable settlement.

The Capital Markets Integrity Corporation (CMIC) is also a wholly-owned subsidiary. It functions as the independent audit, surveillance and compliance unit of the Company, having taken over the functions of the former Market Regulation Division of the Company. CMIC operates to ensure the integrity of the capital market and has jurisdiction to investigate all violations of the SRC and CMIC Rules by Trading Participants, and investigate trading-related irregularities and unusual trading activities committed by Issuers. The SEC granted CMIC its authority to operate as the independent audit, surveillance and compliance unit of the Company with provisional self-regulatory organization (SRO) status on February 2, 2012.

The Company is also a shareholder of the Philippine Dealing System Holdings Corporation (PDSHC), the holding company of the Philippine Dealing & Exchange Corporation (PDEX), otherwise known as the Fixed Income Exchange (FIE), the Philippine Depository & Trust Corp. (PDTC) and the Philippines Securities Settlement Corporation (PSSC). As of March 31, 2022, the Company is a stockholder of record of 1,311,439 shares, or 20.98%, of all of the issued and outstanding shares.

In April 2019, the PSE incorporated Premier Software Enterprise, Inc. (Premier), a separate IT subsidiary, to enable the Company to meet the growing demand for technology services related to its various initiatives. Premier offers software development services focused on building innovative trading solutions and servicing the technology needs of the Exchange and its stakeholders. The Company owns an 80% stake in Premier.

Item 2. Properties

The Company is the registered owner of the office at the PSE Plaza along Ayala Avenue, Makati City.

On May 19, 2015, the Company and Fort Bonifacio Development Corporation signed a Contract to Sell and subsequently, a Deed of Absolute Sale for the purchase by the Company of office units in Bonifacio Global City to house the Company's current headquarters and offices.

Item 3. Legal Proceedings

During the past five (5) years and until the present, the Company, its directors and executive officers in their official capacities have not been involved in any other legal proceedings that will have a material adverse effect on the Company's operations or financial condition except the following:

The Philippine Stock Exchange, Inc., Bankers Association of the Philippines, Philippine Association of Brokers and Dealers, Inc., Fund Managers Association of the Philippines, Trust Officers Association of the Philippines and Marmon Holdings, Inc. vs. Secretary of Finance, Commissioner of Internal Revenue and Chairperson of the Securities and Exchange Commission

[Filed with the Supreme Court as G.R. No. 213860]

This is a Petition for Certiorari and Prohibition with Application for Issuance of TRO and/or Writ of Preliminary Injunction to enjoin the Secretary of Finance, Commissioner of Internal Revenue and Chairperson of the Securities and Exchange Commission from further enforcing and implementing Revenue Regulations No. 01-2014 and Revenue Memorandum Circular No. 05-14 insofar as they prohibit the naming of the PCD Nominee as the payee for dividend payments made by listed companies and SEC Memorandum Circular No. 10-2014 in its entirety (collectively, the "subject regulations").

In a Resolution dated September 9, 2014, the Court issued a temporary restraining order enjoining the respondents from further enforcing the subject regulations. The TRO is effective until further orders from the Court.

Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco, Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan vs. PSE, PSE NOMELEC and SEC

[Filed with RTC-159, Pasig City as Civil Case No. 10-139]

This case pertains to a petition for injunctive relief filed against the Securities and Exchange Commission (SEC), the Company and the Company's NOMELEC to allow trading participants to fully vote their shares in the Company. This was filed in response to the SEC's directive to limit the voting rights of trading participants to 20% pursuant to Section 33.2(c) of the Securities Regulation Code.

The trial court issued an order dated April 28, 2010 and the corresponding writ of preliminary injunction dated April 29, 2010 which allowed all trading participants to vote their entire shareholdings in the Company in the May 1, 2010 elections for the Company's Board of Directors.

On May 5, 2011, the trial court issued an order and writ of preliminary injunction enjoining the SEC and the Company's NOMELEC from imposing the 20% ownership limitation until such time that the vital issues in the petition are resolved and, in effect, allowing all shareholders to vote their entire shareholdings during the May 14, 2011 elections for the Company's Board of Directors.

In a decision dated April 23, 2014, the trial court granted the petition, enjoined SEC, PSE and PSE Nomelec from imposing any limitation or restriction on the right of PASBDI and the individual petitioners to vote their entire shareholdings and declared permanent the writs of preliminary injunction. SEC filed an appeal with the Court of Appeals, as discussed below.

Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco, Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan vs. PSE, PSE NOMELEC and SEC

[Filed with the Court of Appeals as CA G.R. SP No. 103548.]

This case pertains to the appeal filed by the SEC assailing the decision dated April 23, 2014 of RTC-159, Pasig City which granted PASBDI, et al.'s petition in Civil Case No. 10-139

On January 24, 2019, the Court of Appeals denied the appeal and affirmed the decision of RTC-159, Pasig City which granted PASBDI's petition for injunction.

SEC vs. Hon. Bonifacio, Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco, Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan, PSE, PSE NOMELEC.

[Filed with the Supreme Court as G.R. No. 198425.]

This case stemmed from a petition for certiorari and prohibition filed by the SEC in the

Court of Appeals seeking the reversal and nullification of the order dated April 28, 2010 and the corresponding writ of preliminary Injunction dated April 29, 2010 issued by RTC-159, Pasig City in Civil Case No. 10-139. The SEC prayed for an order restraining the proceedings in the trial court for lack of jurisdiction and ordering the nullification of the May 1, 2010 elections for the Company's Board of Directors.

On April 11, 2011, the Court of Appeals rendered a decision dismissing the petition and affirming the writ of preliminary injunction issued by RTC-159, Pasig City in Civil Case No. 10-139.

The SEC appealed the decision to the Supreme Court.

The case was consolidated with G.R. No. 201174, which is discussed below. On March 17, 2015, PSE filed its Consolidated Memorandum. The petition remains pending.

SEC vs. Hon. Bonifacio, Philippine Association of Securities Brokers and Dealers, Inc. (PASBDI), Ma. Vivian Yuchengco, Ismael G. Cruz, Nestor S. Aguila and Marita A. Limlingan, PSE, PSE NOMELEC.

[Filed with the Supreme Court as G.R. No. 201174.]

This case pertains to a petition for certiorari (with application for TRO and/or writ of preliminary injunction) filed by the SEC directly with the Supreme Court, seeking the reversal and nullification of the orders dated May 5, 2011 and February 8, 2012 issued by RTC-159, Pasig City in Civil Case No. 10-139. The SEC also prayed for an order dismissing PASBDI's and the individual petitioners' petition for injunction in the trial court for lack of jurisdiction.

The case was consolidated with G.R. No. 198425. On March 17, 2015, PSE filed its Consolidated Memorandum. The petition remains pending.

DW Capital, Inc. vs. The Philippine Stock Exchange, Inc.

[Filed with the Court of Appeals as CA-G.R. No. 153973]

This is a Petition for Review filed by DW Capital, Inc. ("DWCI"), seeking to reverse and set aside the December 5, 2017 Order of the Securities and Exchange Commission ("SEC") which directed the Company to take over the operations of DWCI ("Take-over Order"). The Court of Appeals denied the Petition and affirmed the Take-over Order issued by the SEC.

DWCI filed a Motion for Reconsideration, which was likewise denied by the Court of Appeals in a Resolution dated February 22, 2019.

Other than the aforementioned cases, the Company is not aware of any case concerning directors and officers which involves:

- any bankruptcy petition filed by or against any business of which any of its incumbent directors or executive officers was a general partner or an executive officer either at the time of bankruptcy or within two years prior to that time;
- any conviction by final judgment in a criminal proceeding, domestic or foreign, or any criminal proceeding, domestic or foreign, pending against any of the incumbent directors or executive officers;
- any order, judgment or decree, not subsequently reversed, suspended or vacated, of any court or competent jurisdiction, domestic or foreign, permanently or temporarily enjoining, barring, suspending or otherwise limiting the involvement of any of the incumbent directors or executive officers in any type of business, securities, commodities, or banking activities; and
- any finding by a domestic or foreign court of competent jurisdiction (in civil action), the SEC or comparable foreign body, or a domestic or foreign exchange or electronic marketplace or self-regulatory organization, that any of the incumbent directors or executive officers has violated a securities or commodities law, and the judgment has not been reversed, suspended or vacated.

II. OPERATIONAL AND FINANCIAL INFORMATION

Item 5. Market for Issuer's Common Equity and Related Stockholder Matters

1) Principal market where the registrant's common equity is traded:

The common stock of the Company is listed in The Philippine Stock Exchange, Inc.

Stock Prices

The high and low prices of the Company's shares in the stock exchange for each quarter of fiscal years 2019, 2020 and 2021, are as follows:

2019	High	Low
Q1	P200.00	P177.60
Q2	P199.60	P174.00
Q3	P195.00	P176.00
Q4	P179.60	P172.00

2020	High	Low
Q1	P179.50	P132.00
Q2	P175.00	P156.70
Q3	P170.00	P153.00
Q4	P177.00	P153.50
2021	High	Low
Q1	P154.90	P140.00
Q2	P210.00	P140.00
Q3	P250.00	P200.00
Q4	P230.00	P204.00

In 2021, the highest and lowest prices of the Company's shares were P250.00 and P140.00, respectively. The stock price of the Company closed at P207.00 on 31 March 2022.

The number of shareholders of record as of 31 March 2022 is 285. The total number of shares outstanding as of 31 March 2022 is 81,965,903 with a par value of P1.00.

The top twenty (20) holders as of 31 March 2022 are as follows:

	Stockholder No.	Name of Stockholder	Nationality	Number of Shares	Amount Paid-Up (Php)	Percentage of the Total Outstanding Shares
1	PCD Filipino	PCD Nominee Corp.	Filipino	59,287,143	59,287,143.00	72.331%
2	0000201014	San Miguel Corporation Retirement Plan	Filipino	7,555,200	7,555,200.00	9.217%
3	PCD Non-Filipino	PCD Nominee Corp.	Non-Filipino	4,679,161	4,679,161.00	5.709%
4	1800300726	Freeman Trading Limited	Hong Kong	1,000,000	1,000,000.00	1.220%
5	1800300451	Raymond M. Moreno	Filipino	500,000	500,000.00	0.610%
6	1800300452	Raymond John L. Moreno	Filipino	500,000	500,000.00	0.610%

7	0000227949	The First Resources Management and Securities Corp.	Filipino	gener321,360	321,360.00	0.392%
8	0000197138	Ansaldo Godinez & Company, Inc.	Filipino	240,000	240,000.00	0.293%
9	0000197162	Vicky L. Chan	Filipino	240,000	240,000.00	0.293%
10	0000197163	Chia Kim Teck		240,000	240,000.00	0.293%
11	0000197167	Christfund Securities (Phils.) Inc.	Filipino	240,000	240,000.00	0.293%
12	0000197194	DBS Vickers Securities (Phils.) Inc.	Filipino	240,000	240,000.00	0.293%
13	0000197198	Five Karats Property Holdings, Inc.	Filipino	240,000	240,000.00	0.293%
14	0000197207	Go, Genevieve W.J.	Filipino	240,000	240,000.00	0.293%
15	0000197215	Highland Securities Phils. Inc.	Filipino	240,000	240,000.00	0.293%
16	0000197227	JSG Securities, Inc.	Filipino	240,000	240,000.00	0.293%
17	0000197251	Marian Securities, Inc.	Filipino	240,000	240,000.00	0.293%
18	0000197252	Mark Securities Corp.	Filipino	240,000	240,000.00	0.293%
19	0000197303	Solar Securities, Inc.	Filipino	240,000	240,000.00	0.293%
20	0000197328	Uob-Kay Hian Securities (Philippines), Inc.	Filipino	240,000	240,000.00	0.293%

As of 31 March 2021, the Company's public float level is at 65.99%.

Dividends

Dividends per Share:

P8.80 in 2019, broken down as P4.45 regular cash dividend and P4.35 special cash dividend to stockholders of record as of 12 April 2019 payable on 10 May

2019.

P8.00 in 2021, broken down as P3.77 regular cash dividend and P4.23 special cash dividend to stockholders of record as of 22 March 2021 payable on 15 April 2021.

P11.00 in 2022, broken down as P4.00 regular cash dividend and P7.00 special cash dividend to stockholders of record as of 9 March 2022 payable on 4 April 2022.

Dividend Policy

The Company adopts a policy for the declaration of regular cash dividend out of the unrestricted retained earnings equivalent to fifty percent (50%) of the Company's audited net income. However, the Company can also declare special dividends, which it has done so for the past few years, in addition to the regular dividend policy. The declaration of regular and special dividends is dependent on the cash flow, business plan and financial condition of the Company.

2) Recent Sale of Unregistered/Exempt Securities

The common shares granted to eligible employees pursuant to the Employee Stock Purchase Plan ("ESPP") is an exempt transaction under Section 10.2 of the Securities Regulation Code, as stated under Resolution No. 179 Series of 2008 of the Securities and Exchange Commission.

At the annual meeting of the stockholders of the Company held on 2 November 2020, the Stockholders approved, by a vote representing at least 2/3 of the outstanding capital stock, the Employee Stock Purchase Plan for 2021-2023, pursuant to Resolution No. 56, Series of 2020 of the Board of Directors, with the following terms and conditions:

Number of Shares	300,000 common shares
Term	Three years from January 1, 2021 to December 2023
Offer schedule	100,000 shares annually
Administration	ESPP Committee
Purpose	• Encourage employees to become part owners of the PSE and align their interests with those of stockholders • Enhance employees' loyalty and performance • Employee retention • Investment opportunity
Eligible participants	Employees of PSE and SCCP with at least 1 year of continuous service and in good standing (not under any disciplinary action or no infractions within the last 12 months)
Price	20% discount to 30-day VWAP
Vesting	33.3% in year 1, 66.7% in year 2, and 100% in year 3

Payment	Salary deduction for 3 years
Holding Period	2 years, subject to full payment of the subscription price
Voting rights and dividends	Participants are entitled upon becoming stockholders of record
Issuance of stock certificates	Upon full payment of shares
Payment of taxes and administration costs	Shouldered by PSE
Subscription limit	Such number of shares as shall be covered by the lower of: 50% of annual net pay, or 20% of annual gross salary

Item 6. Management's Discussion and Analysis or Plan of Operation

2021 vs. 2020

For the year ended December 31, 2021, operating revenues amounted to ₱1.65 billion, 25.27% or ₱332.15 million higher than the 2020 level.

- Listing-related fees, which comprised 46.27% of operating revenues, contributed an increase of ₱167.97 million or 28.29% in 2021 primarily due to 45.88% or ₱158.68 million higher listing fees. Effective January 1, 2019, the Exchange adopted the requirements of PFRS 15 on revenue from listing fees, under the modified retrospective approach. Under this method, PFRS 15 can be applied either to all contracts at the date of initial application or only to contract that are not completed at this date. The Exchange elected to apply the method only to those contracts that are not completed as at January 1, 2019. The Exchange recognized its revenue from listing fees over time using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years. Before the adoption of PFRS 15, revenues from listing fees were recognized upon listing;

- Revenue from trading-related fees, which made up 23.81% of operating revenues, went up by ₱51.74 million or 15.20%. This was brought about by ₱46.16 million or 26.07% increase in transaction and block sale fees due to higher turnover value totaling ₱2.23 trillion or an average daily value turnover of ₱9 billion compared to same period last year's ₱1.77 trillion or an average daily turnover of ₱7.35 billion. There was also ₱1.97 million or 5.44% increase in subscription fees.

Total expenses (cost of services and administrative expenses) of the Company slightly increased by 1.26% to ₱669.46 million from ₱661.10 million in 2020. The following were the significant changes in expense items:

- compensation and other related staff costs, 35.16% of total expenses, went up by 8.07% or ₱17.58 million mainly due to the unfilled positions in 2020;
- depreciation expenses, 19.64% of total expenses, went down by 16.43% or by ₱25.85 million due to lower acquisitions of property and equipment in 2020.

- repairs and maintenance, 16.76% of total expenses, went down by ₱2.25 million or 1.96%;
- professional fees, 12.43% of total expenses, went up by ₱13.26 million or 18.97% due to higher number of board and committee meetings;
- occupancy costs, 6.52% of total expenses, was lower by 4.33% or by ₱1.97 million due to lower utilities consumption and reduced number of security and housekeeping personnel;
- taxes and licenses, 3.17% of total expenses, went up by 67.23% or ₱8.53 million primarily due to the payment of transfer tax for the BGC property and the recognition of realty tax for the same property;
- market development expenses went down by 71.21% or by ₱1.24 million mainly due to the cancellation of certain activities in light of the ECQ;
- donations and contributions decreased by ₱5.72 million due to donations of relief goods to indigent families of Taguig City in 2020;
- trading participants' development expenses went up by 17.56% or ₱0.41 million due to higher fees paid to expenses related to the annual stockholder's meeting;
- meetings and conferences increased by 23.70% or ₱0.12 million due to higher number of board meetings;
- travel and transportation expenses went up by ₱.07 million or 7.07% mainly due to the combined effect of higher unit price and consumption of gasoline in 2021;
- public relations went up by ₱1.18 million or by 22.14% due to resumption of investor related activities in 2021 made possible by better health conditions compared with previous year's stricter quarantine levels; and
- Other expenses went up by 50.79% or ₱3.96 million due to higher trust fee for externally managed funds.

Other income amounting to ₱221.31 million went up by 4.04% or by ₱8.59 million from last year's ₱212.72 million due to ₱46.76 million higher fair value of financial assets at fair value through profit and loss (FVTPL) and ₱8.96 million higher dividend income reduced by ₱39.16 million lower interest income in view of lower interest rates in 2021.

The above net changes resulted to a net income after tax amounting to ₱919.48 million, up by 39.99% or ₱262.67 million from previous year's net income of ₱656.81 million.

Total assets as of December 31, 2021 amounted to ₱7.46 billion, higher by 9.55% or by ₱649.78 million from its level previous year. The analyses of its components follow:

Cash and cash equivalents amounted to ₱439.57 million, 5.90% of total assets, decreased by 34.99% or by ₱236.55 million than the 2020 level mainly due to investments in government securities, equity funds and US dollar denominated bonds.

Receivables went up by 35.26% or by ₱34.15 million mainly due to the higher accrued transaction fees and service fees.

Financial assets at fair value through profit or loss of ₱1.09 billion, 14.57% of total assets and 21.53% of total investments, pertained to the equity funds and US dollar denominated bonds managed by external professional fund managers under purely discretionary mandates.

Other current assets went up by ₱57.27 million or 69.70% mainly due to higher prepayments of sun servers and security maintenance in 2021.

Short-term financial assets at FVOCI as at December 31, 2021 amounted to ₱2.94 billion, 39.51% of total assets and 58.39% of total investments, pertained to government securities and corporate bonds with interest rates ranging from 1.02% to 4.15%.

Long-term financial assets at FVOCI of ₱718.98 million, 9.64% of total assets and 14.25% of total investments, consisted of investments in retail treasury bonds, fixed income treasury notes, and corporate bonds which will mature starting 2022 until 2032 with interest rates ranging from 2.375% to 5.28%.

Property and equipment, 15.71% of total assets, went down by ₱81.44 million or 6.50% due to lower acquisitions of equipment compared to previous year.

Right-of-use assets of ₱33.38 million pertained to the unamortized portion of the present values of the lease contracts for the data recovery sites of the Parent Company and office space of Premier Software Enterprise, Inc. in compliance with PFRS 16 on Leases.

Investment property of ₱148.78 million pertained to land rights, building and building improvements of Exchange Plaza which was reclassified to this account from Property and equipment in 2018 due to the change in use of the property as evidenced by the end of owner-occupation.

Investment in an associate, 3.94% of total assets and 5.83% of total investments, pertained to the 20.98% equity of PSE in PDS Holdings Corporation (PDSHC). The account increased by ₱6.85 million or 2.38% from ₱287.17 million to ₱294.02 million.

Pension asset amounting to ₱23.68 million, as at December 31, 2021, pertain to the fair value of the assets of the Parent Company's retirement plan, net of the present value of retirement obligation and asset ceiling under Amended PAS 19(R). The assets are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP has an unfunded noncontributory defined benefit retirement plan covering all regular employees. The benefits are accumulated based on years of service and compensation per year of credited service. CMIC, on the other hand, does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (Republic Act No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days' Pay for every year of credited service. The pension liability amounted to ₱22.63 million and ₱25.99 million in 2021 and 2020, respectively, or decrease of 12.93% or ₱3.36 million.

Deferred tax assets of ₱316.52 million pertained primarily to the retrospective adjustment in 2019 of the beginning balance of retained earnings and the corresponding recognition of contract liability for deferred listing fees in compliance with PFRS 15 which was implemented in 2019.

Current liabilities, which accounted for 9.63% of total liabilities and stockholders' equity, went up by ₱75.33 million or by 11.72% from ₱642.89 million to ₱718.22 million. Of the latter amount, 30.71% or ₱220.56 million represented trade and other payables while 47.02% or ₱337.73 million represented the current portion of contract and lease liabilities.

Noncurrent liabilities went up by 43.22% or by ₱301.90 million mainly because of the recognition of additional contract liabilities in 2021 and reclassification of the current portions of contract and lease liabilities.

The Exchange remained liquid with a working capital of ₱4.02 billion or a current ratio of 6.60:1.

Total retained earnings amounted to ₱2.40 billion. This included the net income of ₱919.48 million, donated capital of ₱211.60 million and appropriated retained earnings of ₱121 million.

Capital Expenditures

As at December 31, 2020, the building included under the property and equipment account amounting to ₱910.80 million pertained to the cost of BGC office units and corresponding fit-out works. Additional capital expenditures of ₱1.38 million were incurred for building in 2021.

Liquidity

The Company has been paying its trade payables within the stated trade terms. As of December 31, 2021, the Exchange had no note, loan, or other indebtedness or financing arrangement requiring the Company to make payments.

The Company conducted a stock rights offering ("SRO") of 11.50 million common shares at ₱252.00 per share in March 2018. The remaining net proceeds of the SRO are intended to be used for planned acquisition of PDSHC. As of December 31, 2021, the balance of SRO proceeds is ₱1.69 billion. The balance of the SRO proceeds will continue to be invested in fixed income instruments and managed funds until deployed for the intended purpose.

2020 vs. 2019

For the year ended December 31, 2020, operating revenues amounted to ₱1.31 billion, 1.81% or ₱23.41 million higher than the 2019 level.

- Listing-related fees, which comprised 45.23% of operating revenues, contributed an increase of ₱9.75 million or 1.67% in 2020 primarily due to 4.74% or ₱15.68 million higher listing fees. Effective January 1, 2019, the Exchange adopted the requirements of PFRS 15 on revenue from listing fees, under the modified retrospective approach. Under this method, PFRS 15 can be applied either to all contracts at the date of initial application or only to contract that are not completed at this date. The Exchange elected to apply the method only to those contracts that

are not completed as at January 1, 2019. The Exchange recognized its revenue from listing fees over time using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years. Before the adoption of PFRS 15, revenues from listing fees were recognized upon listing

- Revenue from trading-related fees, which made up 25.89% of operating revenues, went up by ₱13.18 million or 4.03%. This was brought about by ₱9.43 million or 8.02% increase in data feed income and ₱3.92 million or 12.15% higher subscription fees.

Total expenses (cost of services and administrative expenses) of the Company declined by a total of ₱63.90 million from ₱725 million in 2019 to ₱661.10 million in 2020 or a decrease of 8.81%. The following were the significant changes in expense items:

- Compensation and other related staff costs, 32.94% of total expenses, went down by 8.63% or ₱20.57 million mainly due to the unfilled positions in 2020;
- depreciation expenses, 23.80% of total expenses, went down by 12.65% or by ₱22.78 million due to assets that reached its full depreciation within the year 2020;
- repairs and maintenance, 17.31% of total expenses, went up by ₱9.03 million or 8.57% mainly due to additional maintenance costs of storage area network and software;
- professional fees, 10.58% of total expenses, went down by ₱6.14 million or 8.07% due to lower number of board and committee meetings;
- occupancy costs, 6.90% of total expenses, was lower by 10.61% or by ₱5.41 million because of lower consumption of utilities and reduced number of security and housekeeping personnel;
- taxes and licenses, 1.92% of total expenses, decreased by ₱10.20 million or 44.56% because 2019 included the realty tax expense for the PSE Building in Taguig City;
- market development expenses went down by 48.36% or by ₱1.64 million mainly due to the cancellation of certain activities in view of the ECQ;
- insurance went up by 12.39% or ₱0.24 million due to higher insurance premium cost for directors' and officers' liability insurance;
- donations and contributions increased by ₱2.72 million due to donations of relief goods to indigent families of Taguig City;
- trading participants' development expenses went down by 55.03% or ₱2.87 million as a result to cancellation of certain activities due to ECQ;
- meetings and conferences declined by 59.90% or ₱0.73 million due to lower number of board meetings and also because virtual instead of face-to-face meetings were conducted from the start of the quarantine period up to end of 2020;

- travel and transportation expenses decreased by 53.15% or ₱1.12 million mainly due the combined effect of lower gasoline and limited travels (domestic and foreign) in view of the pandemic;
- public relations went down by ₱0.60 million or by 10.23% due to lower costs incurred for representation and investor relation activities; and
- Other expenses went down by 32.91% or ₱3.82 million mainly because 2019 included the cost of filing fees paid to the Securities and Exchange Commission in relation to the incorporation of PSE Realty Company.

Other income of ₱212.72 million went down by 31.55% or by ₱98.06 million from last year's ₱310.78 million mainly due to ₱84.85 million lower interest income in view of lower interest rates in 2020 compared with 2019 and ₱30.92 million mark-to-market loss on equity funds.

The above net changes have resulted to a net income after tax amounting to ₱656.81 million, down by 3.31% or ₱22.48 million from previous year's net income of ₱679.29 million.

Total assets as of December 31, 2020 amounted to ₱6.81 billion, higher by 8.22% or by ₱516.71 million from its level last year. The analyses of its components are as follows:

Cash and cash equivalents amounted to ₱676.12 million, 9.93% of total assets, were lower by 78.37% or by ₱2.45 billion than the 2019 level due to the investment of the proceeds of matured time deposits in government securities.

Receivables went up by 18.75% or by ₱15.29 million mainly due to higher accrual of data feed fees.

Financial assets at fair value through profit or loss of ₱289.94 million, 4.26% of total assets and 6.91% of total investments, pertained mainly to the equity funds managed by Banco de Oro and Metro Bank under a purely discretionary mandate. The said mandate, which is covered by an Investment Management Agreement, started in April 2011.

Other current assets went up by ₱27.65 million or 50.72% mainly due to higher prepayments of sun servers and security maintenance in 2020.

Short-term financial assets at FVOCI as at December 31, 2020 amounted to ₱3.00 billion, 44.10% of total assets and 71.53% of total investments, pertained to government securities and corporate bonds with interest rates ranging from 1.038% to 6.5% and 4.16% to 5.10%, respectively.

Long-term financial assets at FVOCI of ₱617.59 million, 9.07% of total assets and 14.72% of total investments, consisted of investments in retail treasury bonds, fixed income treasury notes, and corporate bonds which will mature starting 2022 until 2032 with interest rates ranging from 3.25% to 6.25%.

Property and equipment, 18.40% of total assets, was higher by ₱250.82 million or 0.48%.

Right-of-use assets of ₱52.22 million pertained to the unamortized portion of the present values of the lease contracts for the data recovery sites of the Parent Company and office space of Premier Software Enterprise, Inc. in compliance with PFRS 16 on Leases. Investment property of ₱287.17 million pertained to land rights, building and building improvements of Exchange Plaza which was reclassified to this account from Property and equipment due to the change in use of the property as evidenced by the end of the owner-occupation. The account is higher by 8.40% or ₱11.78 million due to the cost of on-going construction, which started in 2020.

Investment in an associate, 4.22% of total assets and 6.84% of total investments, pertained to the 20.98% equity of PSE in PDS Holdings Corporation (PDSHC). The account increased by ₱19.24 million or 7.18% from ₱267.94 million to ₱287.17 million due to the recognition of PSE's share in PDSHC's net income for 2020 reduced by the amount of cash dividend received from the latter during the year.

Pension asset amounting to ₱2.29 million, as at December 31, 2020, pertain to the fair value of the assets of the Parent Company's retirement plan, net of the present value of retirement obligation and asset ceiling under Amended PAS 19(R). The assets are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP has an unfunded noncontributory defined benefit retirement plan covering all regular employees. The benefits are accumulated based on years of service and compensation per year of credited service. CMIC, on the other hand, does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (Republic Act No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days' Pay for every year of credited service. The pension liability amounted to ₱25.99 million and ₱20.71 million in 2020 and 2019, respectively, or an increase of 25.49% or ₱5.28 million.

Deferred tax assets of ₱271.07 million pertained primarily to the retrospective adjustment in 2019 of the beginning balance of retained earnings and the corresponding recognition of contract liability for deferred listing fees in compliance with PFRS 15, which was implemented in 2019.

Current liabilities, which accounted for 11.76% of total liabilities and stockholders' equity, went up by ₱2.34 million or by 0.37% from ₱640.55 million to ₱642.89 million. Of the latter amount, 50.77% or ₱326.42 million represented trade and other payables while 38.91% or ₱250.15 million represented the current portion of contract and lease liabilities.

Noncurrent liabilities went down by 16% or by ₱133.06 million because of the recognition of the amortized portions and the reclassification of the current portions of contract and lease liabilities.

The Exchange remained liquid with a working capital of ₱3.50 billion or a current ratio of 6.45:1.

Total retained earnings amounted to ₱2.14 billion. This included the net income of ₱656.81 million, donated capital of ₱211.60 million and appropriated retained earnings of ₱121 million.

Capital Expenditures

On May 19, 2015, a contract to sell was entered into between the Parent Company and FBDC for the purchase by the Parent Company of certain office units in the West Super Block building.

As at December 31, 2020, the Building included in the property and equipment account of ₱1.06 billion pertained to the cost of BGC office units and corresponding fit-out works.

Liquidity

The Company has been paying its trade payables within the stated trade terms. As of December 31, 2020, the Exchange had no note, loan, or other indebtedness or financing arrangement requiring the Company to make payments.

Financial Statements

The Audited Consolidated Financial Statements of the Company as of December 31, 2021, 2020 and 2019, Audited Parent Financial Statements, and the Statement of Management's Responsibility for Financial Statements are attached hereto and made integral parts hereof as Annexes "A," "B," and "C," respectively.

Key Performance Indicators

Financial Performance

				% Change	
	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2021 vs.</u> <u>2020</u>	<u>2020</u> <u>vs.</u> <u>2019</u>
Revenues	₱1,646,511,741	₱1,314,362,972	₱1,290,949,022	25.72	1.81
Cost of Services	300,322,600	282,143,101	280,845,554	6.44	0.46
Administrative Expenses	369,132,441	378,962,221	444,159,283	-2.59	-14.68
Other Income	221,305,657	212,718,184	310,775,104	4.04	-31.55

Net Income	919,484,619	656,812,425	679,291,135	39.99	-3.31
Basic Earnings Per Share		8.08	8.33		
Diluted Earnings Per Share		8.08	8.31		

For the year ended December 31, 2021, operating revenues amounted to ₱1.65 billion. The Company's operating revenues, sourced mainly from listing-related, trading-related and service fees, increased by 25.27% or ₱332.15 million from the 2020 level. Listing-related fees, which comprised 30.64% of operating revenues, included listing fees, annual listing maintenance fees and processing fees. This revenue source went up by ₱167.26 million or 28.13%. Trading-related fees, which comprised 23.81% of operating revenues, increased by 15.20% or ₱ 51.74 million. This included subscription and data feed fees which likewise increased by 5.44% or ₱1.97 million and 2.84% or ₱3.61 million, respectively. Transaction fees from regular and block sales and SCCP fees, which both went up by 26.07%, increased by ₱46.16 million and ₱82.43 million, respectively.

Cost of services of ₱300.32 million, expenses which were directly related to the core operations of the PSE Group, included compensation and other related staff costs, depreciation, office expenses, communications, repairs and maintenance and amortization of computer software. This account was higher by 6.44% or ₱18.18 million from previous year's ₱282.14 million. Administrative expenses for 2021 of ₱369.13 million went down by ₱9.83 million or 2.59% compared to last year's ₱ 378.96 million. Total expenses (cost of services and administrative) of ₱ 669.46 million posted an increase of 1.26% from last year's ₱ 661.10 million. Compensation and other related staff expenses represented 35.16% of the total. On the other hand, depreciation, repairs and maintenance, professional fees and occupancy costs made up 19.64%, 16.76%, 12.43% and 6.52% of total expenses, respectively.

Other income of ₱221.30 million was higher by 4.04% or by ₱8.59 million from last year's ₱212.72 million due to ₱84.85 million higher mark-to-market loss on financial assets at FVTPL interest income net of ₱39.16 million lower interest income.

For the year ended December 31, 2020, operating revenues amounted to ₱1.31 billion. The Company's operating revenues, sourced mainly from listing-related, trading-related and service fees, increased by 1.81% or ₱23.41 million from the 2019 level. Listing-related fees, which comprised 45.23% of operating revenues, included listing fees, annual listing maintenance fees and processing fees. This revenue source went up by ₱9.75 million or 1.67%. Trading-related fees, which comprised 25.89% of operating revenues, increased by 4.03% or ₱ 13.18 million. This included subscription and data feed fees which likewise increased by 12.15% or ₱3.92 million and 8.02% or ₱9.43 million, respectively. Transaction fees from regular and block sales and SCCP fees, which both went down by 0.09%, decreased by ₱0.17 million and ₱0.30 million, respectively.

Cost of services of ₱282.14 million, expenses which were directly related to the core operations of the PSE Group, included compensation and other related staff costs, depreciation, office expenses, communications, repairs and maintenance and amortization of computer software. This account was higher by 0.46% or ₱1.30 million from previous year's ₱280.84 million. Administrative expenses for 2020 of ₱378.96 million went down by ₱65.20 million or 14.68% compared to last year's ₱ 444.16 million. Total expenses (cost of services and administrative) of ₱ 661.10 million posted a decline of 8.81% from last year's ₱ 725 million. Compensation and other related staff expenses represented 32.94% of the total. On the other hand, depreciation, repairs and maintenance, professional fees and occupancy costs made up 23.80%, 17.31%, 10.58% and 6.90% of total expenses, respectively.

Other income of ₱212.72 million was lower by 31.55% or by ₱98.06 million from last year's ₱310.78 million due to ₱84.85 million lower interest income and ₱30.92 million mark-to-market loss on financial assets at FVTPL.

For the year ended December 31, 2019, operating revenues amounted to ₱1.29 billion. The Company's operating revenues, sourced mainly from listing-related, trading-related and service fees, declined by 19.12% or ₱305.26 million from the 2018 level. Listing-related fees, which comprised 45.30% of operating revenues, included listing fees, annual listing maintenance fees and processing fees. This revenue source went down by ₱253.52 million or 30.24%. Trading-related fees, which comprised 25.34% of operating revenues, decreased by 17.67% or ₱ 70.22 million. This included subscription and data feed fees which were lower by 69.25% or ₱72.66 million and 0.95% or ₱1.13 million, respectively, and transaction fees, which went up by 2.06% or ₱3.58 million due to a similar percentage increase in trading volume. SCCP service fees, which contributed 24.52% to operating revenues, likewise increased by 2.06% or ₱6.38 million.

Cost of services of ₱280.84 million, expenses which were directly related to the core operations of the Company, included compensation and other related staff costs, depreciation, office expenses, communications, repairs and maintenance and amortization of computer software. This account was lower by 7.71% from previous year's ₱304.31 million. Administrative expenses for 2019 of ₱444.16 million went down by ₱13.56 million or 2.96% compared to last year's ₱ 457.72 million. Total expenses (cost of services and administrative) of ₱ 725.00 million posted a decline of 4.86% from last year's ₱ 762.03 million. Compensation and other related staff expenses represented 32.88% of the total. On the other hand, depreciation, professional fees and occupancy costs made up 24.84%, 10.49% and 7.04% of total expenses, respectively.

Other income of ₱310.78 million was higher by 109.50% or by ₱162.44 million from last year's ₱148.34 million due to ₱77.64 million higher interest income, ₱48.24 million higher mark-to-market gain on financial assets at FVTPL and ₱45.61 million higher equity in net income of an associate.

The net income for 2019 amounted to ₱679.29 million which was 6.58% lower than the net income for 2018 of ₱727.10 million.

Basic and Diluted Earnings Per Share are computed as follows:

	2021	2020	2019
Net income (a)	₱923,136,938	₱656,812,425	₱679,291,135
(b) Adjusted weighted average shares	81,503,971	81,648,885	81,809,909
(c) Adjusted weighted average shares – diluted	81,503,971	81,658,009	81,963,460
EPS: Basic (a/b)	11.33	₱8.10	₱8.33
Diluted (a/c)	11.33	8.10	8.31

Development of New Products and Services

Real Estate Investment Trust (REIT)

The Department of Finance (DOF), SEC, Bureau of Internal Revenue (BIR), and the Company launched the final amendments to the regulations governing REITs in a joint signing ceremony on January 20, 2020. This development came as a result of the Company's and market regulators' conscious efforts in the past few years to clear the hurdles which have long deterred issuers from listing a REIT. Subsequent to the approval of the Amended Listing Rules for REITs, the Company published its Guidelines for Broker Eligibility to Trade REIT Securities on July 15, 2020. Similar to dollar denominated securities, trading of REIT securities requires trading participants to attend a REIT training session conducted by the Company and must issue a sworn certification to the Company attesting to its operational readiness. The TP should also comply with the applicable requirements under the Name on Central Depository facility of the Philippine Depository Trust Corp. As of date, there are 123 eligible TPs to trade REIT securities.

On August 13, 2020, the Company welcomed the Ayala Land-sponsored REIT company, AREIT, Inc., as the first listed REIT in the Philippine stock market. AREIT raised a total of P13.57 billion, of which P1.29 billion were from its primary shares while P12.28 billion came from secondary shares. On March 24, 2021, DoubleDragon's DDMP REIT, Inc. also conducted its initial public offering (IPO) and raised P14.71 billion from the issuance of its secondary shares. Following the two REIT listings, Filinvest REIT Corporation became the third listed REIT on August 12, 2021 and raised P12.58 billion from its IPO. On September 14, 2021, Robinsons Land-sponsored REIT company, RL Commercial REIT, Inc., raised P23.53 billion from the issuance of its secondary shares during its IPO. In the beginning of the fourth quarter of 2021, MREIT, Inc. conducted its IPO and raised a total of P15.29 billion from the issuance of its secondary shares.

New PSE Website

Taking off from the website reskinning project in 2018, the Exchange worked on the revamp of its website. The new PSE website features a modern, intuitive and user-friendly interface and is optimized to be responsive on any browser and mobile device. To further enhance the overall experience of users, the navigation of the new website was streamlined and the content was reorganized to make them more purpose-centric.

Among the key content and features of the new website are: (1) convenient access to listing-related resources for potential listing applicants; (2) a new and improved charting tool; (3) enhanced display of broker information; (4) expanded market data products; and (5) centralized regulatory information.

The beta version of the new PSE website was made available to the public in February 2021. On May 10, 2021, the new and improved PSE website was officially launched.

Compliance

Prevention and control of COVID-19 in the workplace

Consistent with the Inter-Agency Task Force on Emerging Infectious Diseases' (IATF) guidelines and other statutory issuances, the Company implemented measures for the mitigation, prevention and control of COVID-19 in the workplace. These measures include the adoption of minimum health standards such as the mandatory wearing of masks and face shields, hygiene and disinfection protocols, temperature checks, physical distancing, and installation of acrylic sneeze guards for the workstations of all employees who report on-site. The Company implements a one-trader per booth policy on the trading floor to ensure physical distancing and to minimize the physical contact rate. The Company also adopted various working arrangements such as work-from-home and rotational work shift arrangements to reduce building density and ensure physical distancing, and requires its employees who report on-site, traders, and guests to accurately accomplish the Daily Health and Safety Questionnaire for monitoring purposes. The Company likewise provided support through several health bulletins focusing on personal health management to prevent or mitigate the risk of acquiring COVID-19.

SEC Rule Subjecting the Exchange's Information Technology, Trading, Business Continuity and Disaster Recovery Plans and Risk Management Systems to an Independent IT Audit

In compliance with Rule 33.1.1.26.2 of the 2015 Implementing Rules and Regulations of the Securities Regulation Code, which requires the Exchange to subject its information technology, trading, business continuity and disaster recovery plans, and risk management systems, to a review and audit by an independent firm, the Exchange engaged the services of a third-party assurance provider to conduct the independent assessment. The Exchange has completed the independent IT audit and assessment of the adequacy and effectiveness of the management systems as they relate to the trading systems and processes of the Group. The results of the independent review and audit of IT, Trading, Business Continuity Management and Disaster Recovery Plan and Risk Management Systems was submitted to the Securities and Exchange Commission on December 1, 2021. The results were used in identifying relevant action

items, which can help improve the adequacy and effectiveness of IT controls or processes, business continuity and its disaster recovery processes or controls in conformance with the leading industry practices and ISO standards.

Compliance with Data Privacy Act of 2012

The Company assessed the effectivity of the policies and procedures it put in place to comply with the requirements of the Data Privacy Act of 2012 and its Implementing Rules and Regulations. Utilizing the results of this assessment process, the Company identified several action items with which it can improve its data protection measures. Further, the Company's Data Protection Officer reviewed its initial privacy impact assessment template and came up with a user-friendly but comprehensive template for this year's annual privacy impact assessment exercise.

Other Initiatives

Measures to Address Impact of COVID-19

The Company implemented various measures to address risks and volatilities posed by COVID-19. The Exchange decided to shorten trading hours in consideration of curfews imposed in various parts of Luzon during the community quarantine period. The move was also in alignment with the operational schedules of other market infrastructure providers including the Bangko Sentral ng Pilipinas and the Philippine Dealing and Exchange Corp. The shortened trading hours which ran from 9:30 AM to 1:00 PM daily was implemented from March 19, 2020 to December 3, 2021. On December 6, the Exchange reverted to the pre-pandemic full day 5-hour trading schedule.

To ensure that social distancing protocols are observed, the Company also temporarily closed the trading floor from March 19, 2020 and reopened for trading participants on June 1, 2020. The Company strictly observes the health and safety guidelines prescribed by the Inter-Agency Task Force.

In its effort to address the market volatility triggered by the uncertainties surrounding COVID-19, the Company likewise amended its trading regulations. The rules on static threshold was amended to reduce the lower static threshold of individual stock prices from 50 percent to 30 percent of its previous closing price. Meanwhile, the upper static threshold of securities remained at 50 percent. The said changes took effect and were implemented on March 24, 2020. The Company also introduced a new three-level circuit breaker that would implement a 15-minute, 30-minute and one-hour trading halt when the PSEi falls by 10 percent, 15 percent and 20 percent, respectively. Each circuit breaker level can only be activated once per trading day. The multi-level circuit breaker became effective on May 4, 2020.

Amendments to Listing and Disclosure Rules

With the continuous changes in market practices and regulatory environment, the Company rationalized several requirements to attract more companies to list, strengthen investor protection, and increase market depth. The initiatives include: (1) guidelines on minimum public ownership requirement for initial and backdoor listings; (2) revisions to the mandatory lock-up rule

for SME Board listing; (3) amendments to the voluntary delisting rules; and (4) amendments to rules on the criteria for listing on the Main Board and SME Board.

The Company also adopted the Sponsor program for SME listings to allow companies that are unable to satisfy the SME Board requirements to apply for listing. Through this program, the PSE-accredited listing sponsor will evaluate the applicant's suitability and shall endorse the listing application to the Company. The sponsor will be responsible for hand-holding the company from its IPO preparation phase to three years after listing to ensure that the company complies with the initial and continuing listing rules for all publicly listed companies.

In consideration of the business impact brought by COVID-19, the Company will likewise provide temporary relief to companies applying for listing in 2021 and 2022. The temporary relief shall include: a) time bound relief, where the Company may consider the profitability of the applicant company for any two fiscal years in the three most recent fiscal years, excluding the year of COVID-19 impact; b) minimum disclosure requirements, where the applicant company must fully disclose in the prospectus, among others, the adverse impact of the pandemic in its operations, expected duration of its effects in the company's business, recovery measures and business prospects in the next five years; and c) due consideration for COVID-19 impact in PSE evaluation.

Market Education

The Company strengthened its financial literacy campaign as it took advantage of the growth in digital technology amid the ongoing pandemic. During the year, the Company expanded its digital presence by increasing the frequency of its stock market webinars in lieu of physical seminars. The Company conducted eighteen webinars in 2021 covering a broad range of topics including, among others, personal finance and stock market basics, investing and trading strategies, reading corporate disclosures, and portfolio management. The webinars featured different resource speakers from various brokerage firms and financial institutions for each webinar session. The webinars gathered over four thousand attendees in Zoom and over 30 thousand live views in Facebook. In the Company's official YouTube channel, the videos posted accumulated close to 190 thousand views generating a total watch time of over 27 thousand hours. The Company also collaborated with both government and private institutions to promote financial inclusion and stock market investing by educating their officers, employees, members and students.

In June 2021, the Exchange, in partnership with De La Salle – College of Saint Benilde School of Professional and Continuing Education, launched the first online PSE Certified Securities Specialist Course (CSSC). Since its inception in 2007, this is the first CSSC to have purely online classes for all 14 modules. Also, the online CSSC had the most number of graduates where 42 out of the 97 course participants successfully completed the course.

The PSE joined the global Ring the Bell for Financial Literacy initiative of the World Federation of Exchanges (WFE), marking its third straight year of supporting this advocacy. A bell ringing event was held on October 6, 2021. The Ring the Bell for Financial Literacy activity is WFE's program in support of the World Investor Week hosted by IOSCO or the International Organization of Securities Commissions. Close to 80 members of WFE are participating in this annual activity.

The PSE is also one of SEC's partner organizations its SEC Communication Advocacy and Network (SEC CANI) initiative which is aimed at deepening and broadening investor education and protection among Filipinos.

During the year, the Company likewise worked on the redesign of its PSE Academy website, the official market education website of the Exchange. The PSE Academy will have a fully-automated self-paced e-learning platform featuring an online course composed of eight modules which are categorized under three levels: beginner, intermediate, and advance. The target launch for the new website is in the second quarter of 2022.

Upgrade of Clearing & Settlement System

In December 2019, the SCCP entered into a software license and maintenance agreement and a consultancy services agreement with Millennium IT Software (Private) Limited (Millennium IT), a subsidiary of the London Stock Exchange Group. The agreement will cover the customization, use and maintenance of the Millennium Post Trade solutions and Millennium Risk products, which will replace SCCP's current clearing and settlement, risk and collateral management systems. The installation of this new clearing and settlement system will enable SCCP to improve and enhance the services it provides to the market. The new clearing and settlement system is expected to go live in the second quarter of 2022.

Ongoing Plans and Programs for 2022

The Company's strategic plan, which covers the years 2020 to 2022, is anchored by three key themes – creating sources of sustainable liquidity; leveraging on technology; and embedding ESG best practices in its operations. The Company remains relentless in its pursuit of creating and sustaining a robust market through the introduction of new products and services as well as the expansion of both the listed company and investor bases. Technology continues to be at the core of the Company's ability to meet these objectives, with the domestic market and its various stakeholders being the ultimate beneficiaries of the digital journey that will underpin the Company's transformation into a stronger and more efficient stock exchange. Lastly, in line with the global thrust towards ESG investing, the Company steadfastly aims to become a champion of ESG in both its capacity as a market regulator and a listed company.

Key Activities

Following the success of the launch of the PSEi Total Return Index or TRI, the Company aims to develop new indices that would encourage more investors in the stock market and entice the creation of new ETFs and other index-linked funds. In 2021, the Company launched new indices designed to track the performance of mid-cap companies and high dividend yielding securities. Additionally, the implementation of a globally-benchmarked sector classification structure complements this initiative as indices may be developed based on the new sectors. The target launch for the new sector classification is in the second half of 2022.

To facilitate more listings in the market, the Company will revitalize its marketing structure and adopt a more proactive approach in encouraging companies to list. The Company's new comprehensive listing assistance program will be aligned with the amendments to the listing requirements for Main and SME (small and medium-sized enterprises) Board. The Company will work with underwriters and provide handholding programs to help prospective companies,

particularly SMEs, prepare for their IPO. The Company also plans to amend existing rules for ETFs and Public Private Partnerships, with the aim of encouraging more transactions utilizing these regulations.

Significant changes on the technology side are also planned in the coming months, led by the transition to a new clearing and settlement system for the SCCP that would support multi-asset and multi-currency settlement and incorporate international best practices in risk management and other clearing and settlement services. The Company will also undertake several initiatives geared towards improving a stakeholder's end-to-end digital experience, particularly the implementation of PSE EASy Phase 2 which will integrate an online payment system for IPO subscriptions and extend the service to other forms of public offerings; an e-KYC platform which will enable the conduct of KYC process through an app in lieu of a face-to-face interaction with the broker; and a data analytics platform that will empower investors to learn and analyze data on their own. Enhancements to existing systems and automation of internal processes and services are also seen to further boost efficiency and productivity.

As a market regulator, the Company aims to strengthen its ESG commitment by providing solutions that would minimize its environmental footprint and encourage listed companies to adopt sustainable business practices. Forming part of the Company's sustainability initiatives is the incorporation of regular sustainability reports in its compliance plans; the development of an ESG index; and the alignment of its disclosure regulations with the SEC's Sustainability Reporting Framework. In 2021, the Exchange implemented projects in line with this commitment. One notable achievement is when the PSE Tower shifted to renewable energy in February. This shift effectively decreased the carbon footprint of the PSE.

Item 7. Financial Statements

The Statement of Management's Responsibility for Financial Statements, the Audited Consolidated Financial Statements and the Audited Parent Financial Statements of the Company as of December 31, 2021, 2020 and 2019 are attached hereto as Annexes "A," "B," and "C," respectively.

Item 8. Changes in and Disagreements with Accountants on Accounting and Financial Disclosure/Independent Public Accountant

The external auditors of the Company is the accounting firm of SGV & Co. The engagement of SGV & Co. as external auditor was approved during the Annual Stockholders' Meeting in July 2021. Mr. Sherwin V. Yason is currently the Engagement Partner. The appointment of the external auditor is consistent with SRC Rule 68. The engagement partner or signing partner is rotated after every five (5) years of engagement. A two-year cooling-off period is observed in the re-engagement of the same signing partner.

The Company has not had any disagreements on accounting and financial disclosures with SGV & Co. during their engagement in 2021.

As regards the previous year, the Company did not have any disagreements on accounting and financial disclosures with SGV & Co during their engagement.

Representatives of SGV & Co. will be present during the annual meeting and will be given the opportunity to make a statement if so needed. They are also expected to respond to appropriate questions if needed.

The Board of Directors, upon the recommendation of the Audit and Related Party Transactions Committee, composed of Vicente L. Panlilio (Chairman), Anabelle L. Chua, Ferdinand K. Constantino, Consuelo D. Garcia and Gilberto C. Teodoro, Jr., will recommend to stockholders the appointment of SGV & Co. as the Company's external auditor, with Sherwin V. Yason as the engagement partner at a fee of Php950,000.00 including audit of its subsidiaries.

III. CONTROL AND COMPENSATION INFORMATION

Item 9. Directors and Executive Officers of the Issuer

The Company amended its By-Laws on 17 May 2008 to incorporate the provisions of Rule 38 on Independent Directors of the Securities Regulation Code, as amended.

Directors

Name	Age	Citizenship	Position/Committee Membership
Jose T. Pardo	82	Filipino	Chairman of the Board Independent Director Corporate Governance Committee – Chairman Nominations and Elections Committee
Ramon S. Monzon	71	Filipino	President Chief Executive Officer Capital Markets Development Committee – Chairman
Tomas I. Alcantara	75	Filipino	Investments Committee Capital Markets Development Committee
Diosdado M. Arroyo	47	Filipino	Capital Markets Development Committee Investments Committee
Anabelle L. Chua	61	Filipino	Capital Markets Development Committee Audit and Related Party Transactions Committee
Ferdinand K. Constantino	70	Filipino	Audit and Related Party Transactions Committee Risk Management Committee Investments Committee
Teresita J. Leonardo-De Castro	73	Filipino	Independent Director Nominations and Elections Committee – Chairman Corporate Governance Committee
Consuelo D. Garcia	67	Filipino	Independent Director Risk Management Committee - Chairman

			Audit and Related Party Transactions Committee Capital Markets Development Committee
Eddie T. Gobing	66	Filipino	Risk Management Committee
Rolando Jose L. Macasaet	59	Filipino	Investments Committee Corporate Governance Committee
Vicente B. Panlilio	73	Filipino	Independent Director Audit and Related Party Transactions Committee – Chairman Risk Management Committee Corporate Governance Committee
Wilson L. Sy	67	Filipino	Investments Committee – Chairman Capital Markets Development Committee
Gilberto C. Teodoro, Jr.	57	Filipino	Independent Director Audit and Related Party Transactions Committee Risk Management Committee
Ma. Vivian Yuchengco	68	Filipino	Corporate Governance Committee Capital Markets Development Committee

Key Officers

Name	Age	Citizenship	Position
Ramon S. Monzon	71	Filipino	President Chief Executive Officer
Omelita J. Tiangco	67	Filipino	Treasurer
Aissa V. Encarnacion	57	Filipino	Corporate Secretary
Roel A. Refran	48	Filipino	Chief Operating Officer
Rachelle Blanch ¹	45	Filipino	Vice President and Head, Market Operations Division
Veronica V. Del Rosario	<u>40</u>	Filipino	Vice President and General Counsel/ Compliance Officer
Philip A. Driz	53	Filipino	Vice President and Head, Technology Division

A brief profile of each of the Company's Directors and Officers follow:

BOARD OF DIRECTORS

Jose T. Pardo **Chairman**

82. Mr. Pardo became an Independent Director of the PSE on January 26, 2011, and has been its Chairman since May 2011. He is the Chairman of the Corporate Governance Committee of

¹ Resigned as of 28 February 2021.

the Exchange. He is also the Chairman of the Securities Clearing Corporation of the Philippines, a subsidiary of the PSE. He is an Independent Director and the Chairman of the Board of the Philippine Savings Bank, Philippine Seven Corporation, and Independent Director of JG Summit Holdings, Inc. and Del Monte Philippines. He is likewise a Director of Bank of Commerce, National Grid Corporation of the Philippines, Synergy Grid and Development Philippines, Inc., Monte Oro Grid Resources Corporation, League One Finance and Leasing Corporation and Araneta Hotels, Inc. Mr. Pardo held various positions in government including Secretary of the Department of Finance and Secretary of the Department of Trade and Industry. Mr. Pardo is Chairman of the Council of Business Leaders of the Employers Confederation of the Philippines, Philippine Chamber of Commerce, Inc., and Director of ZNN Radio Veritas Foundation. Mr. Pardo obtained his Bachelor of Science in Commerce and his Master's Degree in Business Administration at the De La Salle University in Manila. In February 2018, he was conferred an Honorary Doctorate in Finance by the De La Salle University.

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Ramon S. Monzon
President and CEO

71. Mr. Monzon is the President and Chief Executive Officer (CEO) of The Philippine Stock Exchange, Inc. (PSE) since May 2017 and the Chairman of PSE's Capital Markets Development Committee. He is the concurrent President and CEO of the Securities Clearing Corporation of the Philippines. He is the President of the PSE Foundation, Inc. and a Trustee of the Securities Investors Protection Fund, Inc. He served as an Independent Director and Chairman of the Audit Committee of PSE from 2015 to 2017. Mr. Monzon is also the President and CEO of Philippine Dealing System Holdings Corporation (PDSHC) and Director and Member of the Executive, Risk Oversight, Audit, Nomination and Remuneration and IT Steering Committees of PDSHC, Philippine Dealing & Exchange Corporation, Philippine Depository & Trust Corporation (PDTC) and Philippine Securities Settlement Corporation (PSSC). He is currently a Director of PCD Nominee Corporation. Mr. Monzon is the Chairman and President of PH GSA, Inc., Xpert Air Services, Inc., Karilagan Int'l Travel & Tours Corp., and Carousel Productions, Inc. From October 1995 to March 2012, he was the Vice Chairman and Chief Operating Officer of Citadel Holdings, Inc. and served as President and CEO of Citadel's subsidiaries which included companies in aviation services, airline passenger and cargo general sales agency. He was the President and CEO of Pacific Rim Export & Holdings Corp. from 1988 to 1995 and was the EVP and Chief Operating Officer of Radio Philippines Network, Intercontinental Broadcasting Corp, Banahaw Broadcasting Corp and Sining Makulay, Inc. from 1984 to 1986. He was also a Partner at SyCip Gorres Velayo & Company from 1982 to 1984. Mr. Monzon holds a Master of Business Administration degree from the Chicago Booth School of Business, a Bachelor of Arts degree major in Political Science from the Ateneo de Manila University, and a Bachelor of Science degree major in Accounting from the Manuel L. Quezon University. He is a Certified Public Accountant and a Fellow of the Institute of Corporate Directors.

Tomas I. Alcantara

75. Mr. Alcantara was elected as a director of the Company in June 2021. He is a member of the Investments Committee and the Capital Markets Development Committee. Mr. Alcantara is a prominent business leader, having held top executive positions in the highly diversified Alcantara Group. He is the Chairman of Holcim Philippines, Inc., since November 2014, Alsons/AWS Information Systems, Inc. (AASI), since 2001, and Eagle Ridge Golf & Country Club since 2000.

He has also served the country in various appointive positions in government, such as Undersecretary of Trade & Industry, heading the Industry and Investments Group, and concurrently the Managing Head of the Board of Investments. Mr. Alcantara was Ambassador – Special Envoy of the President of the Philippines for the Asia Pacific Economic Cooperation when the Philippines hosted summit in 1996. Currently, he is the Chairman of the APEC Business Advisory Council (ABAC) Philippines, a position he has held since 2017. He is also an advisor of the Philippine Japan Economic Cooperation Committee (PHILJEC), where he served as chairman from 2008 to 2011. In 2013, because of his contributions to the PHILJEC, Mr. Alcantara he was conferred the Gold Rays with Neck Ribbon by the Government of Japan. Mr. Alcantara attended the Advanced Management Program of Harvard Business School and holds a Master of Business Administration from Columbia University, and a Bachelor of Science degree major in Economics from Ateneo de Manila University.

Diosdado Macapagal Arroyo

47. Mr. Arroyo was elected a broker-director of the Company in 2020. He is a member of the Committees on Investments and Capital Markets Development, and also serves on the Board of the Securities Clearing Corporation of the Philippines. Mr. Arroyo is the President of Securities Specialists, Inc., an Exchange-accredited stockbrokerage firm that has been around since the 1970s. He is also currently on the Board of various companies and foundations, such as Lourdes T. de Arroyo Holdings, Creekside Healthcare Services, PayNet International Technology, Link2Progress Microfinance, LTA Foundation, and the Amigo Foundation. Mr. Arroyo was also a member of Congress, serving in the Lower House as a representative of Camarines Sur for the three consecutive 3-year terms. He is a proud alumnus of the Ateneo de Naga University, where he graduated with a degree in Business Administration, minor in Legal Management.

Anabelle L. Chua

61. Ms. Chua first became a Director of the PSE in 2004 and served as a non-broker director until May 2010. She was elected in May 2011 and has served as a non-broker director since then. She is a member of the Exchange's Audit and Capital Markets Development Committees. She has been the Chief Financial Officer of the PLDT, Inc.* Group since May 2015, and the Chief Risk Management Officer since August 2018, and is concurrently the Chief Financial Officer of Smart Communications, Inc. from January 2021. She is currently a director of Manila Electric Company* and Chairman of its Finance Committee and a member of its Audit and Related Party Transactions Committee, Risk Committee and Nomination and Governance Committee. Her prior professional experience includes holding various positions at Citibank N.A. and the Solid Pacific Finance Ltd. in Hong Kong. Ms. Chua graduated Magna Cum Laude from the University of the Philippines with a degree in Business Administration and Accountancy and was a consistent University Scholar for ten semesters. She topped the Certified Public Accountant Licensure Examination in October 1982. Ms. Chua was named as the 15th ING-FINEX CFO of the Year in 2021.

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Ferdinand K. Constantino

70. Mr. Constantino was elected to the PSE Board in 2020. He is a member of the Exchange's Audit, Investments and Risk Management Committees and sits on the Board of PSE's wholly-owned subsidiary, the Securities Clearing Corporation of the Philippines. A 48-year veteran in

San Miguel Corporation (SMC)*, Mr. Constantino has been the company's Group Chief Finance Officer and Treasurer since 2001. He also sits on the Board of several SMC subsidiaries and affiliates. Mr. Constantino serves as Chairman of San Miguel Foundation, Inc., SMCGP Philippines Power Foundation, Inc., SMC Stock Transfer Service Corporation and San Miguel Integrated Logistics Services, Inc. A recipient of numerous accolades, he was named The Asset's Triple A Awards 2019 CFO of the Year Philippines and the ING-FINEX 2018 CFO of the Year. He also received a Golden Wheel Award from the Rotary Club of Quezon City in 2021, and a Distinguished Alumni Award for Corporate Governance from UP Alumni Association in 2019. Mr. Constantino obtained his degree in Economics from the University of the Philippines and attended IMD - Switzerland for a Finance and Control course.

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Hon. Chief Justice Teresita J. Leonardo- De Castro (ret.)
Independent Director

73. Chief Justice Teresita J. Leonardo-De Castro (ret.) was elected as an Independent Director of the PSE in 2020. She is the Chairman of the Exchange's Nominations and Elections Committee and a member of the Corporate Governance Committee. She also sits on the Board of the Securities Clearing Corporation of the Philippines, Top Frontier Investment Holdings, Inc. and San Miguel Corporation as Independent Director and Trustee of PSE Foundation, Inc. and serves as Consultant of the Supreme Court Committee on Family Courts and Juvenile Concerns. Chief Justice De Castro's career in public service, which spanned over four decades, was spent with the judiciary and executive branches of government. She started at the Supreme Court as a law clerk. She was transferred to the Department of Justice, where her 19-year stint culminated with her appointment as Assistant Chief State Counsel. Chief Justice De Castro rejoined the judiciary in 1997 when she was appointed to the Sandiganbayan as Associate Justice and eventually promoted to Presiding Justice. A decade later, her career came full circle with her return to the Supreme Court as Associate Justice. Her illustrious career was capped with her appointment as Chief Justice of the Supreme Court in 2018. Chief Justice De Castro was Vice-President, President-elect and President consecutively of the International Association of Women Judges (IAWJ) from 2010 to 2016, with each elected position having a two-year tenure. She was a member of the IAWJ Executive Council from 2016 to 2018. She was also elected President of the Philippine Women Judges Association from 2009 to 2018. She was designated Chairperson of the Special Committee for the 2015 Bar Examinations. Chief Justice De Castro was awarded the Presidential Medal of Merit in 1998 by then Philippine President Fidel V. Ramos and the Chief Justice Hilario G. Davide Judicial Reform Award in 2005. Chief Justice De Castro graduated from the University of the Philippines with a Bachelor of Arts, cum laude, and Bachelor of Law on the top four of her class. She was elected to lifetime membership in the Phi Kappa Phi International Honor Society and the Pi Gamma Mu International Honor Society in the Social Sciences for outstanding academic accomplishments in her Bachelor of Arts and Bachelor of Laws courses. She attended law courses in the International Law Institute in Washington D.C. and Harvard Law School's Program of Instruction for Lawyers in Massachusetts, USA.

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Consuelo D. Garcia
Independent Director

67. Ms. Garcia, a prominent and veteran banker, was elected to the PSE Board in 2020 as an Independent Director. She is the Chairman of the Exchange's Risk Management Committee and a member of its Audit and Capital Markets Development Committees. Ms. Garcia also sits as an Independent Director of AC Energy Corporation*, GT Capital Holdings, Inc and Far Eastern University, Incorporated. She is a director and minority shareholder of Murrayhill Realty Development Corporation, a family owned corporation. She is a Board Member of the Financial Executives Institute of the Philippines (FINEX), Trustee/ Independent Director of ING Foundation Philippines, Inc, a member of the Filipina CEO Circle and a Fellow of the Institute of Corporate Directors. She also serves as Senior Consultant of ING Bank on the roll-out of an all-digital retail banking platform in the Philippines. Ms. Garcia started her ING Bank N.V. Manila career in 1991 as Head of Financial Markets and eventually served as its Country Manager and Head of Clients from September 2008 to November 15, 2017. Prior to joining ING, she worked with SGV and Bank of Boston, Philippine branch. A Certified Public Accountant, Ms. Garcia graduated Magna Cum Laude from the University of the East with a degree in Business Administration, major in Accounting.

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Eddie T. Gobing

66. Mr. Gobing has been a PSE Director since 2001 and has held various positions in the Exchange since 1998. He is a member of the Exchange's Risk Management Committee. He has also been a Director of the Securities Clearing Corporation of the Philippines since 2008. Mr. Gobing is a Trustee of the PSE Foundation. He is the Treasurer of the Manila Stock Exchange Foundation. Mr. Gobing is the President of Lucky Securities, Inc., and E.G. & Sons Insurance Agency Inc.; Chairman of Jacqui Foods Corp., G.G. Food Chain Corp., and J.G. Food Corp.; and President of Teishoku Dining Concepts, Inc. He also serves as Director, Treasurer and Finance Committee Chairman of Wack Wack Golf & Country Club. Mr. Gobing graduated with a Bachelor of Science degree in Management from the University of Santo Tomas.

Rolando L. Macasaet

59. Mr. Macasaet became a PSE Director in July 2019. He is a member of the Exchange's Investments and Corporate Governance Committees. He is currently the President and General Manager and concurrent Vice Chairman of the Board of the state-pension fund Government Service Insurance System (GSIS). In addition, he is also a member of the Board of Directors in the Philippine Crop Insurance Corporation (PCIC) and The Manila Hotel since 2021. Mr. Macasaet has extensive experience in the fields of banking, financial services and corporate governance – both in the Philippines and abroad. Prior to his stint in GSIS, he served as Director of the Asian Infrastructure and Investment Bank (AIIB) in Beijing, China. He was also *Vice President and General Manager* of the Philippine National Bank (PNB) in Los Angeles, California and eventually appointed as the *Regional Vice President* of PNB for the entire ASEAN region. In the field of corporate governance, Mr. Macasaet served as Chairman and/or Board Director, President and CEO of various corporations in the Philippines - both in the public and private sectors. He served as Board Director in San Miguel Food and Beverage Corporation, Bank of Commerce, Philippine Commercial International Bank (PCI Bank) and the Private Infrastructure and Development Corporation (PIDC). He also headed a number of Government-Owned and

Controlled Corporations (GOCCs) in the country, such as the Philippine National Construction Corporation (PNCC), Skyway Corporation and the Philippine Postal Savings Bank (now Overseas Filipino Bank) as its President and Vice Chairman. Mr. Macasaet holds a degree in Business Economics (*cum laude*) and a Masters degree in Business Administration (Honors program) from the University of the Philippines (UP). He likewise completed the *Executive Program on Finance* of Columbia University in New York and the diploma program on *Management Development* of the Harvard Business School in Boston. He completed his elementary and high school education at the Ateneo de Zamboanga, graduating with top honors as class valedictorian.

Vicente L. Panlilio
Independent Director

73. Mr. Panlilio has been an Independent Director of PSE since 2017. He is the Chairman of the Audit and Related Party Transactions Committee and a member of the Corporate Governance and Risk Management Committees. He also served as PSE Independent Director partially in 2009. Mr. Panlilio was formerly the Chief Operating Officer and a member of the Advisory Board of Far East Bank and Trust Company, and a Board Director at the Philippine National Bank, Equitable-PCI Bank and Bank of Commerce. He also served as a Director of Manila Electric Company* and is an incumbent Director of San Fernando Electric Light and Power Company and Balibago Water Systems. Mr. Panlilio graduated from the University of the Philippines and also attended the Asian Institute of Management for the Advanced Bank Management Program.

Wilson L. Sy

67. Mr. Sy has been a broker director since 2016. He is a stock market veteran with over four decades of professional experience. He is the Chairman of Wealth Securities Inc. Mr. Sy served as the Chairman of the Manila Stock Exchange from 1994 to 1999 and the Philippine Stock Exchange from 1996 to 1998. He was re-elected as PSE Director in 2016. He is a member of the Exchange's Capital Markets Development Committee and Investments Committee. He is currently the Chairman of the Manila Stock Exchange Foundation. Mr. Sy is also the fund manager of Philequity Fund, one of the most successful and longest running mutual funds in the country. At present, Mr. Sy is a director for various companies such as Philequity Management, Vantage Equities, Vantage Financial Corp., and East West Bank. He is also member of Ateneo De Manila University Board of Trustees. Mr. Sy is a columnist for the business section of The Philippine Star and is the author of the book "Opportunity of a Lifetime."

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Gilberto C. Teodoro, Jr.
Independent Director

57. Mr. Gilberto C. Teodoro, Jr. was elected as an Independent Director of the PSE in 2 July 2021. He is a member of the Audit and Related Party Transactions Committee and the Risk Management Committee. Mr. Teodoro is the Chairman of Suricon Resources Corporation, Sagittarius Mines, Inc. and Indophil Holdings. He also sits on the Board of Philippine Geothermal Production Company, Inc., Canlubang Sugar Estate and Alphaland Corporation. Since 2015, he has been the Chairman of the Philippine Air Force Multi Sector Governance Council. Mr.

Teodoro's career in public service began in 1980 when he was a youth representative to various regional provincial and municipal bodies. He then became a Congressman and was a principal author of the Securities Code of 2000. In 2007, he was appointed Secretary of National Defense. Mr. Teodoro is an alumnus of Xavier School and De La Salle University in Manila where he graduated with a degree in Bachelor of Science in Commerce majoring in Management of Financial Institutions. In 1989, he graduated third in his class from the University of the Philippines College of Law and placed first in the 1989 Philippine Bar Examinations. Mr. Teodoro also has a Masters in Law degree from Harvard Law School, and was subsequently admitted to the State Bar of New York. Mr. Teodoro also completed the Command and Staff Course of the Philippine Air Force and the Joint and Combined Staff Officer Course of the Armed Forces of the Philippines where he won the Leadership award in both courses. He was awarded the Philippine Legion of Honor with the rank of Grand Commander, the first to be awarded with such a rank.

**publicly-listed company*

Ma. Vivian Yuchengco

68. Ms. Yuchengco has been a Director of the PSE since 2004. Previously, she was a Director during these periods: 1993-1994, 1996, 1998, and 2000-2001. She is a member of the Corporate Governance, Capital Markets Development, and Membership Committees of the PSE. She served as PSE Chairman from 2002 to 2003. In 1989, Ms. Yuchengco became the first woman to be elected as President of the Makati Stock Exchange. In 2000, serving as one of the Board of Trustees of the Securities Investors Protection Fund, she co-chaired the committee that worked towards the demutualization of the PSE. She is currently the Chairperson of The Philippine Association of Securities Brokers and Dealers, Inc. Ms. Yuchengco studied Economics in Newton College of Sacred Heart in Boston, Massachusetts. She has her own brokerage firm, The First Resources Management and Securities Corporation, which she manages and has been in operation for 41 years now.

Omelita J. Tiangco **Treasurer**

67. Ms. Tiangco has been the Treasurer of the Exchange since May 2010. She was a Director of the Company from August 2006 to March 2010 and from May 2010 to April 2011, and was a member of the Exchange's Corporate Governance and Audit Committees. She has likewise been the Treasurer of Securities Clearing Corporation of the Philippines and Capital Markets Integrity Corporation since June 2010 and June 2013, respectively, and Director and Treasurer of Premier Software Enterprise, Inc. since March 2019. She served as Executive Vice-President & Chief Finance Officer of the Government Service Insurance System (GSIS) from September 2004 to February 2010. Prior to that, she held various positions in GSIS such as Senior Vice President-Fund Management Group, Senior Vice-President-Internal Audit Group and Vice-President & Controller. She likewise served as President of the GSIS Mutual Fund, Inc., Director and Treasurer of GSIS Family Bank and Controller of GSIS Properties, Inc. Ms. Tiangco holds a Master's degree in Business Administration from the De La Salle University and a Bachelor of Science in Commerce degree from Arellano University. She is a Certified Public Accountant and is a fellow of the Institute of Corporate Directors.

Aissa V. Encarnacion
Corporate Secretary

57. Atty. Encarnacion has been the Corporate Secretary of the Exchange and SCCP since February 2004 and a non-voting member of the Nominations and Elections Committee. She is a Partner of Zamora and Poblador Law Offices. She is a professorial lecturer at the University of the Philippines College of Law and Cesar Virata School of Business. Before she assumed her present PSE post, she was the Assistant Corporate Secretary of the Exchange from 2000 to 2003 and Acting Corporate Secretary from 2003 to February 2004. She is a member of the Board of Directors of various private companies, a Trustee of Empowering Brilliant Minds Foundation, Inc. and acts as Corporate Secretary for various companies. Prior to joining her present law firm, she was a Senior Associate of the Bengzon Narciso Cudala Jimenez & Liwanag Law Offices. She received her Bachelor of Laws and Bachelor of Science in Business Administration degrees from the University of the Philippines.

EXECUTIVE OFFICERS

Roel A. Refran
Senior Vice President and Chief Operating Officer

48. Atty. Refran is the Senior Vice President and Chief Operating Officer of the Exchange since 2012. He is a certified public accountant and a lawyer. He started as General Counsel of the Exchange in 2005 and was the concurrent head of the Issuer Regulation Division in 2010. He was an associate at SyCip Salazar Hernandez & Gatmaitan Law Offices from 1999 to 2001. Prior to joining the Exchange in 2004, he was an associate at Angara Abello Concepcion Regala & Cruz Law Offices. He was chief of staff of Senator Ralph G. Recto from 2001 to 2004. He is the Chairman and President of Philippine Fulbright Scholars Association. Atty. Refran earned his degree in Bachelor of Science in Business Administration and Accountancy (BSBAA), Magna Cum Laude, from the University of the Philippines and obtained his Juris Doctor (JD) degree, Second Honors, from Ateneo de Manila University School of Law. He placed in the top 20 of the May 1995 CPA board examinations. Atty. Refran is also a bar topnotcher having placed fourth highest in the 1999 bar examinations. He obtained his MBA degree, with specialization in capital markets and finance, from Emory University (USA) as a Fulbright Scholar. While at Emory University, he worked as an associate in the Emory Center for Alternative Investments and dealt with private equity, venture capital, hedge funds and other alternative investments. Atty. Refran has been inducted lifetime member of the Beta Gamma Sigma (international honor society in business), and Pi Gamma Mu (international honor society in social sciences). He was recognized as the 2014 Distinguished Alumni Awardee by the University of the Philippines Virata School of Business. Atty. Refran is a member of the Commercial Law Department of the Philippine Judicial Academy.

Rachelle C. Blanch²
Vice President and Head of Market Operations Division

45. Ms. Blanch is Vice President and Head of the Market Operations Division of the Company since July 2008. She was promoted to the rank of Assistant Vice President in 2008 and to Vice President in April 2011. She was the Head of the Applications Development Department of the

² Resigned as of 28 February 2021.

former Information Technology Division before the Market Operations Division was created in 2008. She has been with the Exchange for 22 years. Prior to joining PSE, Ms. Blanch was Project Implementor at the Computer Information System. She earned her ITIL 2011 Foundation Certificate in IT Service Management in 2015; ITIL Intermediate Certificate in IT Operational Support and Analysis in 2017, and IT Service Offerings and Agreements in 2018; and Prince2® Foundation Certificate in Project Management in 2017. In 2019, she attended the Project Management Institute Agile Certified Practitioner (PMI-ACP) Training. Ms. Blanch finished her Master's degree in Business Administration at the Graduate School of Business, De La Salle University. She graduated from the University of the Philippines with a Bachelor of Science Degree in Mathematics.

Veronica V. Del Rosario

Vice President and General Counsel/ Compliance Officer

40. Atty. Del Rosario was promoted to Vice President from Assistant Vice President in June 2019. She has been PSE's General Counsel since May 2016 and Compliance Officer since 2020. Atty. Del Rosario joined the Exchange in September 2010 as Legal Officer and later on appointed as the OIC of the Office of the General Counsel in 2015. Prior to joining the PSE, she was the Head of the Legal Department and the Division Manager of the Administrative & General Services Department at the Aurora Special Economic Zone Authority. She served as Associate at Jones & Associates, New York. She also held positions such as Associate Lawyer at Mendoza Orozco & Bueno Law Offices in Olongapo City and as Junior Associate Lawyer at Ocampo & Manalo Law Firm in Makati City. She is a lecturer in the Certified Securities Specialist Course of PSE in partnership with De La Salle – College of Saint Benilde. Atty. Del Rosario earned her Bachelor of Laws and Bachelor of Science in Business Economics degrees at the University of the Philippines. She is a member of the Philippine Bar and New York Bar.

Philip A. Driz

Vice President and Head of Technology Division

53. Mr. Driz has been Vice President since June 2019. He was Assistant Vice President when he joined PSE in October 2015 to head Technology Division. He has more than two decades of experience in project management, application development, infrastructure management, information security, IT risk management, IT helpdesk, data center operation and vendor management. Before joining PSE in October 2015, Mr. Driz was a Delivery Lead at Accenture where he held various positions including Technology Service Delivery Head for Asia Pacific. He also served as Assistant Vice President of the Information Management Division at RCBC Savings Bank. He held various executive positions such as Chief Information Technology Officer at Fiji National Provident Fund, and Senior Assistant Vice President - Infrastructure Management Group at Philippine National Bank, among others. He graduated from the Manuel L. Quezon University with a Bachelor of Science Degree in Computer Science.

Item 10. Executive Compensation

(a) Compensation of Directors and Executive Officers

The Chairman receives a per diem of P370,000.00 a month. The other directors receive a per diem of P75,000.00 for each board meeting attended. The Corporate Secretary receives a

per diem of P12,500.00 for each meeting attended.

The Chairman of the Board and the Corporate Secretary are not entitled to receive any salary or other annual compensation from the Company. The President, being a full-time officer, receives a fixed monthly compensation.

In 2021, the directors as a group received total aggregate per diem of Php15,370,000

In 2020 the directors as a group received total aggregate per diem of Php13,200,000.

The Corporate Governance Committee studies, sets and reviews the compensation structure of the entire organization of the Company including the Board of Directors. During the Organizational Meeting on July 2, 2021, the following were appointed as members of the Committee: Jose T. Pardo (Chairman), Teresita Leonardo-De Castro, Vicente Panlilio, Rolando L. Macasaet, and Ma. Vivian Yuchengco.

(b) **Summary Compensation Table**

The following table summarizes the actual aggregate compensation of the directors and officers of PSE in 20120 and 2021, and an estimate for 2022.

SUMMARY OF ANNUAL COMPENSATION (in Pesos)					
NAME AND POSITION	YEAR	SALARY	BONUS	OTHER COMPENSATION (Per Diem)	TOTAL
	2020 (Actual)				
Directors				Php 13,200,000.00	Php 13,200,000.00

CEO and 4 most highly compensated officers Monzon, Ramon S. <i>President and Chief Executive Officer</i> (May 6, 2018 – present) Refran, Roel A. <i>Senior Vice President</i> (Promoted eff: June 1, 2012) Blanch, Rachelle C. <i>Vice President</i> (Resigned eff: February 1, 2022) Driz, Philip A. <i>Vice President</i> (Promoted eff: June 1, 2019) Del Rosario, Veronica V. <i>Vice President</i> (Promoted eff: June 1, 2019)		Php 36,148,924.60	Php 18,832,518.04	Php 0.00	Php 54,981,442.64
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All other officers and directors as a group unnamed		5,917,992.35	1,889,694.67	0	7,807,687.02
Total		Php 42,066,916.95	Php 20,722,212.71	Php 13,200,000.00	Php 75,989,129.66
Note:					

SUMMARY OF ANNUAL COMPENSATION (in Pesos)					
NAME AND POSITION	YEAR	SALARY	BONUS	OTHER COMPENSATION (Per Diem)	TOTAL
	2021 (Actual)				
Directors				Php 15,370,000.00	Php 15,370,000.00
CEO and 4 most highly compensated officers					
Monzon, Ramon S. <i>President and Chief Executive Officer (May 6, 2018 – present)</i>		Php 38,495,778.40	Php 22,505,705.33	Php 0.00	Php 61,001,483.73
Refran, Roel A. <i>Senior Vice President (Promoted eff. June 1, 2012)</i>					
Blanch, Rachelle C. <i>Vice President (Resigned eff. June 1, 2012)</i>					

February 28, 2021)					
Driz, Philip A. Vice President (Promoted eff: June 1, 2019)					
Del Rosario, Veronica V. Vice President (Promoted eff: June 1, 2019)					
All other officers and directors as a group unnamed		4,358,797.70	2,150,457.85	0	6,509,255.55
Total		Php 42,854,576.10	Php 24,656,163.18	Php 15,370,000.00	Php 82,880,739.28
Note:					

SUMMARY OF ANNUAL COMPENSATION (in Pesos)					
NAME AND POSITION	YEAR	SALARY	BONUS	OTHER COMPENSATION (Per Diem)	TOTAL
	2022 (Estimate)				
Directors				Php 18,545,000.00	Php 18,545,000.00

CEO and 4 most highly compensated officers Monzon, Ramon S. <i>President and Chief Executive Officer</i> (May 6, 2018 – present) Refran, Roel A. <i>Senior Vice President</i> (Promoted eff: June 1, 2012) Driz, Philip A. <i>Vice President</i> (Promoted eff: June 1, 2019) Del Rosario, Veronica V. <i>Vice President</i> (Promoted eff: June 1, 2019) Garcia, Marigel B. <i>Assistant Vice President</i> (Promoted eff: January 1, 2021)		Php 37,722,667.41	Php 6,327,744.44	Php 0.00	Php 44,050,411.85
All other officers and directors as a group unnamed		6,930,000.00	1,155,000.00	0	8,085,000.00
Total		Php 44,652,667.41	Php 7,482,744.44	Php 18,545,000.00	Php 70,680,411.85
Note:					

(c) Employment Contracts and Termination of Employment and Change in Control Arrangement

The Company has no special arrangements, special employment contracts, or change in control arrangements with its directors or officers. The stockholders elected all its directors and the board of directors appointed its current senior officers.

(d) Option Warrants and Options

The Company has no outstanding warrants or option agreements with its directors.

The Company has no outstanding warrants with its officers.

An Employee Stock Purchase Plan was approved by the stockholders in the annual meeting held last 2 November 2020. The Secretary's Certificate showing the lists of officers and employees who exercised their rights in 2021 under the ESPP and subscribed to 97,100 common shares for the 2021 offering, 80,846 common shares for the 2022 offering is attached hereto as Annex "D."

Item 11. Security Ownership of Certain Beneficial Owners and Management

a) Security Ownership of Certain Record and Beneficial Owners (of more than 5%) as of 31 March 2022.

There are no record and beneficial owners of more than 5% of the Company's securities as of 31 March 2022 except the following:

Title of Class	Name, Address of Record Owner and Relationship with Issuer	Depository Participant	Name of Beneficial Owner and Relationship with Record Owner	Citizenship	No. of Shares Held	Total No. of Shares	Percent
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Common	*PCD Nominee Corporati on - 37 th Floor, Tower 1, The Enterprise Center, 6766 Ayala Avenue, Makati City (no relationshi p)			Filipino		59,287,143	72.33%
		Lucky Securities, Inc.		Filipino		7,232,064	8.82%
		The First Resources Managem ent & Securities Corp.		Filipino		7,905,855	9.65%

		BDO Securities Corporation		Filipino		4,568,881	5.57%
		BANO DE ORO-TRUST BANKING GROUP		Filipino		6,673,200	8.14%
		CITIBANK		Filipino		4,833,898	5.90%
		Government Service Insurance System (GSIS)		Filipino		6,673,201	8.14%
	*PCD Nominee Corporation - 37 th Floor, Tower 1, The Enterprise Center, 6766 Ayala Avenue, Makati City (no relationship)			Foreign		4,679,161	5.71%

Common	San Miguel Corporation Retirement Plan - San Miguel Avenue, Ortigas, Pasig City (no relationship)		San Miguel Corporation Employees	Filipino		7,555,200	9.22%
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*PCD Nominee Corporation (PCNC) is a wholly owned subsidiary of Philippine Depository and Trust, Inc. (PDTC) and is the registered owner of the shares in the books of the Company's transfer agent. PDTC participants deposit eligible securities in PCD through a process called lodgment, where legal title to the securities is transferred and held in trust by PCNC and trading participants.

** We have no knowledge of the beneficial owners of these participants. As of date hereof, information on beneficial owners are still being obtained. Once obtained, the Company can provide detailed information upon request.

There are no other individuals or corporations who are the beneficial owners of more than 5% of the Company's securities.

The Company has no knowledge of the specific persons who will be designated as the representatives of the foregoing during the annual stockholders' meeting.

(b) Security Ownership of Management as of 31 March 2022.

As of 31 March 2022, the following represent the security ownership of certain members of the Company's Board of Directors and Management:

Title of Class	Name of Beneficial Owner	Amount of Beneficial Ownership	Nature	Citizenship	Percent of Class
Common	Tomas I. Alcantara	1	Direct	Filipino	**
Common	Diosdado M. Arroyo	1	Direct	Filipino	**
Common	Anabelle L. Chua	4	Direct	Filipino	**

Common	Ferdinand K. Constantino	1	Direct	Filipino	**
Common	Consuelo D. Garcia	1	Direct	Filipino	**
Common	Eddie T. Gobing	2	Direct	Filipino	**
Common	Teresita J. Leonardo-De Castro	1	Direct	Filipino	**
Common	Rolando Jose L. Macasaet	1	Direct	Filipino	**
Common	Ramon S. Monzon	156,909	Direct	Filipino	**
Common	Vicente L. Panlilio	1	Direct	Filipino	**
Common	Jose T. Pardo	1	Direct	Filipino	**
Common	Wilson L. Sy	100	Direct	Filipino	**
Common	Gilberto C. Teodoro, Jr.	1	Direct	Filipino	**
Common	Ma. Vivian Yuchengco	2,400	Direct	Filipino	**
n.a.	Aissa V. Encarnacion	0	n.a.	Filipino	n.a.
Common	Omelita J. Tiangco	50	Direct	Filipino	**
Common	Roel A. Refran	95,536	Direct	Filipino	**
Common	Veronica Vicedo-Del Rosario	4280	Direct	Filipino	**
n.a.	Philip A. Driz	0	n.a.	Filipino	n.a.
	Aggregate Amount	291,064 1,006	Direct Indirect		

Note:

"d" – direct ownership

"i" - indirect ownership

"**" – less than 1%

(c) **Voting Trust Holders of 5% or more**

As of 31 March 2022, no person holds more than five percent (5%) of the Company's outstanding capital stock under a voting trust.

(d) **Changes in Control**

There are no arrangements that may result in change in control of the Company.

There is no provision in the Company's Articles of Incorporation and By-Laws that may cause delay or deferment of, or in any manner, prevent a change in control of the Company.

No change in control of the Company has occurred since the beginning of the fiscal year.

(e) **Security Ownership of Foreigners**

As of 31 March 2022, 5,935,174 shares, which is equivalent to 7.28% of the total outstanding stock, are owned by foreigners.

Item 12. Certain Relationships and Related Transactions

The Company has not had any transaction in which any director, executive officer or stockholder or a member of the immediate family of the foregoing persons had a direct or indirect interest during the last two years except the transaction fees and other fees collected from trading participants-stockholders. A detailed explanation of these transaction fees is discussed in Note 29 of the Audited Financial Statements.

IV. CORPORATE GOVERNANCE

Item 13. Corporate Governance Initiatives

Corporate Governance and Sustainability Initiatives

In support of its advocacy and market-wide efforts to raise corporate governance standards in the Philippines, the Company conducted a number of initiatives in 2021. It also continued to pursue activities that are intended to strengthen its own corporate governance as a publicly listed company.

Board Assessment

The Company's Board Assessment Guidelines was approved on 22 March 2017 and the Board of Directors has annually conducted its individual and group assessment since then.

The Board Assessment is intended to evaluate the mix of skills, experience and other relevant qualities our Directors bring to the Board, and takes into account the individual director's

ability to exercise independent judgment at all times and to contribute to the effective functioning of the Board. The Individual Assessment process also examines the ability of each Board member or Committee member to give material input at meetings and to demonstrate a high level of professionalism and integrity in the decision-making process.

The Board's effectiveness is assessed in the areas of composition, administration, accountability and responsibility, conduct, and performance.

2021 Bell Ringing for Gender Equality

The Company joined other exchanges globally in the annual Ring the Bell for Gender Equality program by hosting a closing bell event on March 8, 2021.

The special bell ringing ceremony was led by PSE President and CEO Ramon S. Monzon, Securities Clearing Corporation Philippines COO Renee D. Rubio, Capital Markets Integrity Corporation President Daisy P. Arce Treasurer, Omelita Tiangco, Corporate Secretary, Aissa V. Encarnacion and members of PSE's Management Committee. PSE Directors, guests from UN Global Compact Philippine Network, UN Women Philippines, and We Empower Asia attended the event virtually.

The Ring the Bell for Gender Equality program is organized by the UN Global Compact, UN Women, Sustainable Stock Exchanges Initiative, International Finance Corporation, World Federation of Exchanges, and Women in ETFs.

8th SEC – PSE Corporate Governance Forum

The 8th SEC – PSE Corporate Governance Forum was held virtually on November 19 via Zoom platform. Over 900 representatives of publicly listed companies and accredited training institutions attended the said event.

Department of Finance Secretary Carlos Dominguez III delivered the keynote speech discussing The Rise and Future of Sustainable Finance. The forum included three panel discussions: (1) Crisis and Risk Management, (2) Governance and Sustainability from the Directors and Investors' Point of View, and (3) Key Regulatory Updates from the SEC, the Insurance Commission, Bangko Sentral ng Pilipinas, the Climate Change Commission and the Department of Finance.

Inclusion of Gender in Sustainability Reporting of Publicly-Listed Companies

The Asian Institute of Management's (AIM) RVR Center for Corporate Responsibility in partnership with the Philippine Stock Exchange (PSE) in collaboration with the UN Women WeEmpowerAsia Philippines program to deliver meaningful training and capacity building programs to promote gender-inclusive workplaces and a gender-responsive marketplace. Together, we aim to strengthen the capacity of publicly listed companies (PLCs) to incorporate substantive gender indicators in their sustainability (or non-financial disclosure) reporting, aligned with the guidelines issued by the Securities and Exchange Commission through its Memorandum Order (MO) No. 4 of 2019. This strategic collaboration among experts and practitioners will foster a more embedded gender-focused sustainability reporting practice among PLCs. The training

focused on how a publicly listed company can build a strong foundation for their gender inclusion and equality initiatives and effectively communicate, including in sustainability reports, such gender-related efforts.

The training was delivered virtually and was spread out into 3-hour sessions across 5 days- October 20, 22, 25, 27, and 29, 2021 from 9:00 a.m. to 12:00 p.m. There were a total of 20 participants for the pilot online training.

Following the success of the pilot online training, the program was offered on a first come, first served basis to publicly listed company for the second time. The second program followed the same format of 3-hour sessions spread across 5 days – November 17, 19, 22, 24 and 26, 2021 from 9:00 a.m. to 12:00 p.m. A total of 20 participants joined the second program.

PSE-SEC Sustainability Showcase

As part of the overall ESG program of the PSE and SEC to engage and connect with various stakeholders towards achieving our shared sustainable development goals, the PSE, in partnership with the SEC, hosted the PSE-SEC Sustainability Showcase on December 6, 2021 via Zoom platform. It is intended to give listed companies with strong ESG proposition the opportunity to showcase their ESG projects and discuss how these create positive impact on the environment and society, in general.

The companies invited in the showcase are (1) Ayala Corporation, (2) Aboitiz Equities Ventures, (3) Axelum Resources Corp., (4) SM Investments Corporation and (5) First Gen Corporation.

Sustainability Report

The Company submitted its 2021 Sustainability Report in compliance with the SEC Memorandum No. 4, Series of 2019 on Sustainability Reporting Guidelines which is attached to this the 2021 Annual Report of the Exchange. The report provides a comprehensive set of sustainability data and management response in continuously improving the company's ESG (environment, social and governance) performance.

Aligned with previous sustainability reports, the Company still maintains a fully GRI compliant Sustainability Report housed internally.

Corporate Governance Training for Directors

Majority of the directors of the Company attended the 7th SEC-PSE Corporate Governance Forum. The director/s who was not able to attend the forum, attended a separate training that is accredited by the Securities and Exchange Commission.

Internal Sustainability Initiatives and Promoting Good Governance Practices in the Workplace

Throughout the year, the Company ensured that the practice of good governance is implemented within the Company's operations. Awareness campaigns such as info sessions and release of infographics related to ESG was also implemented in 2021 to increase awareness of the employees.

Compliance with Manual on Corporate Governance

The Company substantially adopted the provisions of its Manual on Corporate Governance for the calendar year ending 31 December 2021. A copy of the Certification of the Compliance with the Manual on Corporate Governance is attached hereto as **Annex "E."**

V. EXHIBITS AND SCHEDULES

Item 14. Exhibits and Reports on SEC Form 17-C

Various disclosures were reported using SEC Form 17-C from January to December 2021:

Date	Particulars
24 February 2021	Declaration of cash dividend equivalent to a total of P8.00 per share.
24 February 2021	Approval by the Board of Directors of the eligibility of Mr. Jose T. Pardo to be elected as independent director for another two (2) years for the following reasons: (a) Mr. Pardo initiated projects and reforms in the Company which are in the process of being implemented and would require his continued guidance and leadership in their implementation; and (b) Mr. Pardo's wide experience and expertise in the financial markets are needed during these challenging times as the Company would benefit from his continued leadership and guidance.
26 February 2021	Details relating to the Company's declaration of cash dividend in the amount Php 8.00, to wit: Ex-date — 17 March 2021 Record date — 22 March 2021 Payment date — 15 April 2021
26 March 2021	Approval by the Board of Directors of the Company's Audited Financial Statements as of 31 December 2020, as audited by the accounting firm of SGV & Company.
21 April 2021	Approval by the Board of Directors of the appointment of SGV & Company as the Company's external auditor for 2021. SIG
21 April 2021	Postponement of the Annual Stockholders meeting scheduled on 1 May 2021 to 2 July 2021.
2 July 2021	Appointment of Sycip Gorres Velayo & Co. (SGV) as the external auditor of the Company. Election of Directors, Officers, and Committee Members of the Company for the year 2021 to 2022. Approval of the renewal of the Employee Stock Purchase Plan ("ESPP").

Attendance of Directors

The following is the attendance of the board of directors of the Corporation in meetings from **20 January 2021 to 23 June 2021**:

Name of Director	Total Meetings	Total Absent	Total Present
Jose T. Pardo - Chairman	6	0	6
Ramon S. Monzon - President & CEO	6	0	6
Diosdado M. Arroyo	6	0	6
Anabelle L. Chua	6	0	6
Teresita Leonardo-De Castro	6	0	6
Ferdinand K. Constantino	6	0	6
Consuelo D. Garcia	6	0	6
Eddie T. Gobing	6	0	6
Edgardo G. Lacson	6	0	6
Roberto Cecicio O. Lim	6	0	6
Rolando L. Macasaet	6	0	6
Vicente L. Panlilio	6	0	6
Wilson L. Sy	6	0	6
Eusebio H. Tanco	6	0	6
Ma. Vivian Yuchengco	6	0	6

The following is the attendance of the board of directors of the Corporation elected on 2 July 2021 in meetings from **2 July 2021 to 1 December 2021**:

Name of Director	Total Meetings	Total Absent	Total Present
Jose T. Pardo - Chairman	6	0	6
Ramon S. Monzon - President & CEO	6	0	6
Tomas I. Alcantara	6	0	6
Diosdado M. Arroyo	6	0	6
Annabelle I. Chua	6	1	5
Ferdinand K. Constantino	6	0	6
Teresita J. Leonardo-De Castro	6	0	6
Consuelo D. Garcia	6	0	6
Eddie T. Gobing	6	0	6
Rolando L. Macasaet	6	0	6
Vicente L. Panlilio	6	0	6
Wilson L. Sy	6	0	6

Gilberto C. Teodoro, Jr.	6	1	5
Ma. Vivian Yuchengco	6	0	6

The following tables show the attendance of directors in committee meetings for the year 2021.

AUDIT AND RELATED PARTY TRANSACTIONS COMMITTEE:

24 March 2021 to 2 July 2021

DIRECTOR	TOTAL PRESENT	TOTAL ABSENT	Total Meetings
Vicente L. Panlilio – Chairman	3	0	3
Anabelle L. Chua	3	0	3
Ferdinand K. Constantino	3	0	3
Consuelo D. Garcia	3	0	3
Robert Cecilio O. Lim	3	0	3

2 August 2021 onwards

DIRECTOR	TOTAL PRESENT	TOTAL ABSENT	Total Meetings
Vicente L. Panlilio – Chairman	3	0	3
Anabelle L. Chua	3	0	3
Ferdinand K. Constantino	3	0	3
Consuelo D. Garcia	3	0	3
Gilberto C. Teodoro, Jr.	2	1	3

CORPORATE GOVERNANCE COMMITTEE

Director	TOTAL PRESENT	TOTAL ABSENT	Total Meetings
Jose T. Pardo	1	0	1
Vicente L. Panlilio	1	0	1
Teresita J. Leonardo-de Castro	1	0	1
Rolando L. Macasaet	1	0	1
Ma. Vivian Yuchengco	1	0	1

NOMINATIONS AND ELECTIONS COMMITTEE

28 April 2021 onwards			
DIRECTOR	TOTAL PRESENT	TOTAL ABSENT	Total Meetings
Teresita J. Leonardo-De Castro	3	0	3
Jose T. Pardo	3	0	3
Vicente L. Panlilio ³			
William Ang	3	0	3
Edgardo G. Lacson ⁴	3	0	3
Remy Tigulo	3	0	3
Aissa V. Encarnacion	3	0	3
Veronica V. Del Rosario	3	0	3

VI. SUSTAINABILITY REPORT

A copy of the Company's Sustainability Report is attached as Annex "F."

³ Effective July 2, 2021

⁴ Term expired on July 1, 2021

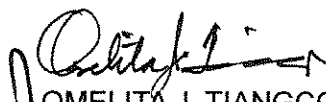
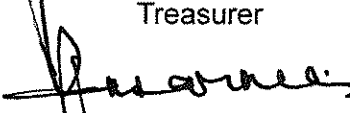
SIGNATURES

Pursuant to the requirements of Section 17 of the Code and Section 141 of the Corporation Code, this report is signed on behalf of the issuer by the undersigned, thereunto duly authorized, in Taguig City on MAY 16 2022.

By:


RAMON S. MONZON
President and Chief Executive Officer

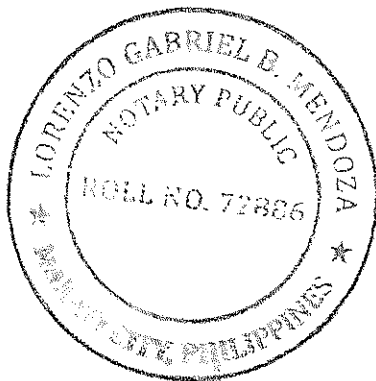

ELIZA S. RODRIGUEZ
Accounting Manager

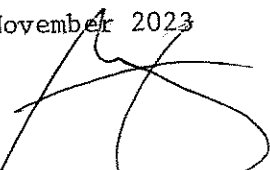

OMELITA J. TIANGCO
Treasurer

AISSA V. ENCARNACION
Corporate Secretary

SUBSCRIBED AND SWORN to before me this MAY 16 2022, affiants exhibiting to me their Government Issued IDs as follows:

NAMES	GOVERNMENT ISSUED ID	DATE OF ISSUANCE/EXPIRY	PLACE OF ISSUANCE
RAMON S. MONZON	Passport No. P1152156B	21 March 2029	DFA NCR EAST
OMELITA J. TIANGCO	Passport No. P8347970A	13 August 2028	DFA NCR SOUTH
ELIZA S. RODRIGUEZ	LTO ID NO. D16-04-293041	03 November 2023	
AISSA V. ENCARNACION	TIN ID NO. 101-846-496		

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Book No. 11
Series of 2022.




LORENZO GABRIEL B. MENDOZA
Notary Public
Until December 31, 2022
Roll of Attorneys No. 72886
P.T.R. No. 8852323; 01-03-2022; Makati City
I.B.P No. 174075; 01-03-2022; Makati City
MCLE Compliance No. VII-0016423; 04-26-2022
Notarial Commission No. M-178
5F Montepino Bldg., 138 Amoroso St.
Legaspi Village, Makati City

THE PHILIPPINE STOCK EXCHANGE, INC.

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FORM 17-A, Item 7

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